ESG HANDBOOK

For MSMEs

2026

Sustainable export and business practices

Prepared by

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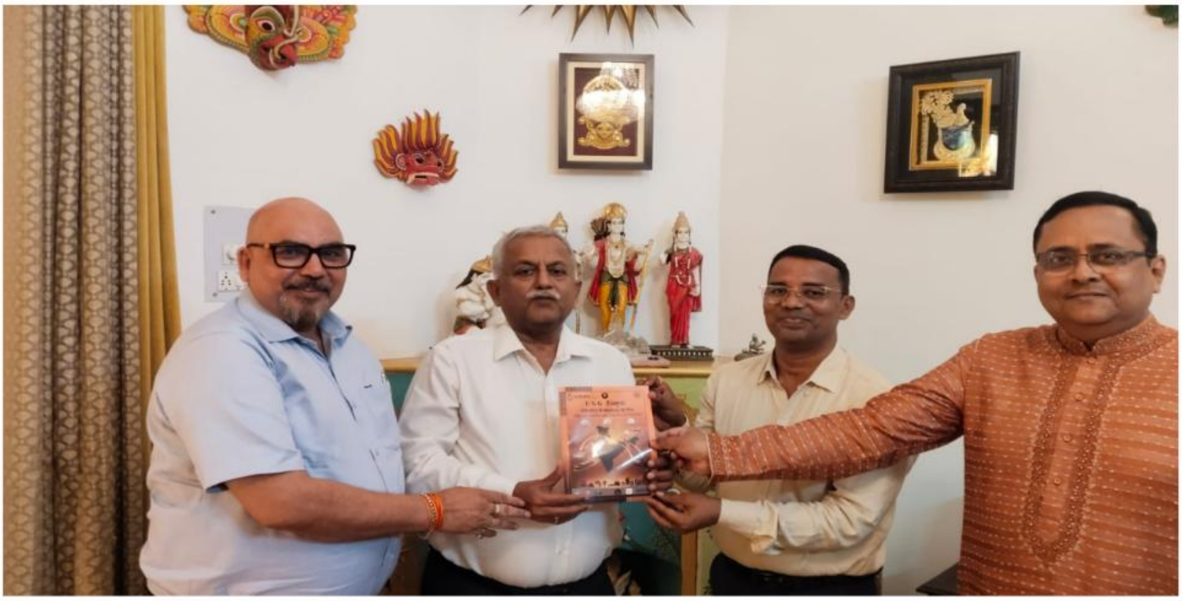

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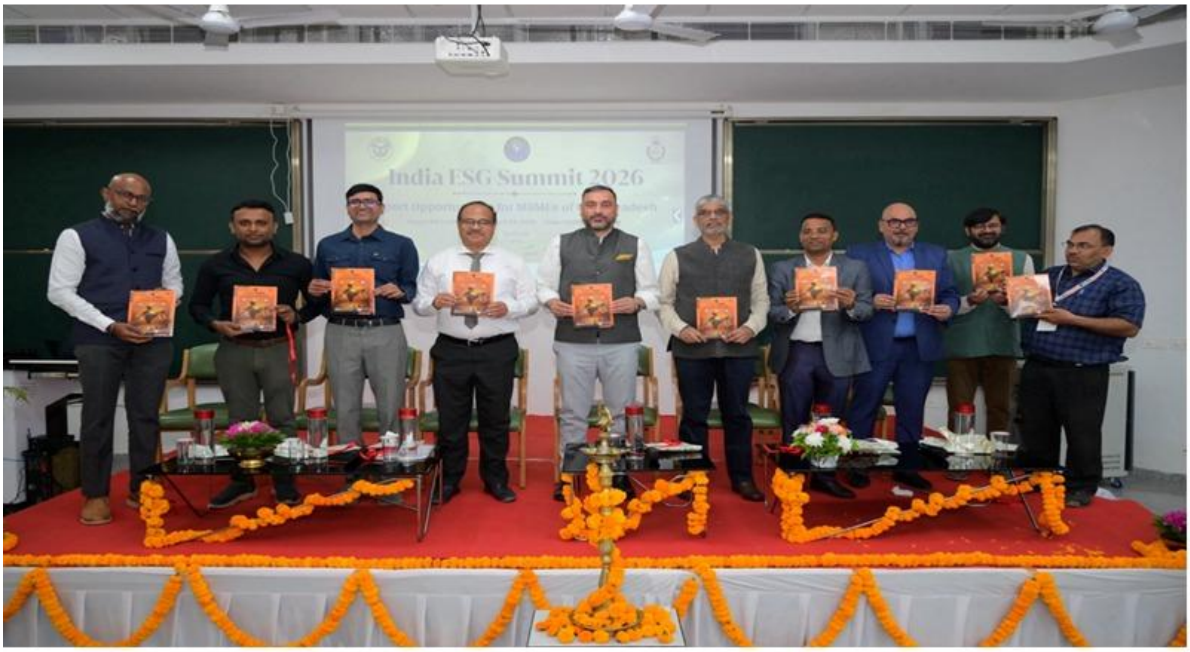

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Introduction

India's micro, small and medium enterprises (MSMEs) stand at a decisive moment in the global economy, where **ESG** performance has become as important as price, quality, and delivery time. International buyers, banks, and investors now evaluate Indian suppliers through Environmental, Social, and Governance lenses before awarding or renewing contracts, and this shift is rapidly transforming what it takes for an MSME to be competitive, credible, and future-ready. For Indian MSMEs, especially export-oriented units, ESG is no longer a distant concern; it is the new entry ticket to global markets, affordable finance, and long-term business resilience.

This booklet has been designed as a practical, India-focused guide to ESG for MSMEs that are already busy running their factories, managing cash flows, and meeting buyer timelines. It translates global jargon and complex frameworks into simple, actionable steps that a small enterprise — whether a garment maker in Tirupur, a brass exporter in Moradabad, a hosiery unit in Ludhiana, a food processor in Pune or a leather cluster in Kolkata — can realistically adopt and document. Rather than adding one more "compliance burden", the booklet shows how ESG can strengthen everyday business practices that many MSMEs already follow instinctively — such as honest bookkeeping, safe workplaces, and responsible use of energy and water — and convert them into measurable advantages in the eyes of buyers and financiers.

The structure of the booklet mirrors the MSME journey from awareness to action. It begins by explaining what ESG is, how it differs from CSR, and why it now appears in buyer questionnaires, loan negotiations, and trade agreements. Subsequent sections trace the historical and Indian knowledge roots of ESG, highlight the global market opportunity, and demystify key international and Indian frameworks such as GRI, TCFD, SASB, UN SDGs, ISO standards, and India's own BRSR and BRSR Core. Dedicated sections then focus on why ESG matters specifically for MSMEs, the direct link to export competitiveness, the evolving regulatory and incentive landscape, and a practical ESG Toolkit with readiness checklists, market-readiness indicators, and key resources.

A central message of this booklet is that ESG is not a separate "project" to be outsourced; it is a way of running the business that reduces risk and unlocks opportunity. MSMEs that track their energy, water, waste, and workforce metrics even on a simple spreadsheet are already laying the foundation for any ESG framework or certification they may need in the future. The case studies included here—from textiles and garments to auto components, agribusiness, and footwear—demonstrate that MSMEs which adopted basic ESG practices have gained access to larger, more stable orders, lower-cost capital, and improved worker retention without sacrificing profitability.

This booklet is anchored in India's own ethical and business heritage while being fully aligned with contemporary global expectations. India ESG Alliance and AFC India, have developed this resource to support MSMEs that are ready to step into high-value supply chains but need clarity on where to begin and how to progress. Whether an enterprise is taking its first step—recording monthly energy use and ensuring statutory compliance—or setting ambitious targets on climate and worker wellbeing, the pages that follow offer a clear progression from baseline to ESG market leader.

The India ESG Alliance is a national platform established to accelerate ESG adoption among Indian MSMEs in a manner that is accessible, practical, and affordable. The Alliance works with industry associations, certification bodies, financial institutions, and government agencies to create a coherent support ecosystem for MSMEs navigating the ESG transition.

What is **ESG?**

ESG stands for **Environmental, Social, and Governance** — three lenses through which the world now measures whether a business is truly responsible and sustainable. It is not just about being "green." It is about how your business **treats the planet, the people, and how ethically you run it.**

IN SIMPLE TERMS

ESG is a **business** philosophy — used by global buyers, banks, and investors to decide who they work with. Companies who do well on ESG parameters, get **better contracts, cheaper loans, and more global customers.**

E — Environment

CATALYSTS FOR CHANGE

How your business interacts with the natural world — the air, water, soil, and energy it touches every day.

For an MSME this means:

⚡ Energy usage & efficiency — how much power you consume and how you reduce it

♻ Waste management & recycling — what happens to your scrap, packaging, and effluents

💧 Water conservation — how much water you use and whether it is returned clean

🌫 Carbon footprint — the greenhouse gases your business is responsible for

Biodiversity - impact, dependencies, risks, and opportunities related to ecosystems, species, and natural habitats

S — Social

THE HEART OF YOUR MSME

How your business manages its relationships with every person it touches — workers, suppliers, community, customers.

For an MSME this means:

⛑ Employee working conditions, rights & wellbeing — safe workplace, fair wages, legal hours

Diversity & inclusion — equal opportunity regardless of gender, caste, religion

🏘 Community engagement & impact — how your unit affects the neighbourhood around it

🔗 Supplier relationships & ethical sourcing — no child labour, no forced labour in your supply chain

G — Governance

THE CORNERSTONE OF EXCELLENCE

How your business is run — decisions, accountability, ethics, and whether a buyer or bank can trust your paperwork.

For an MSME this means:

📋 Business ethics & transparency — honest accounts, clean GST, no double books

⚖ Compliance with laws & regulations — valid licences, labour codes followed

Decision-making processes — clear ownership, documented policies, audit trail

⊘ Anti-corruption measures — no bribery, no facilitation payments, zero tolerance

THINK OF IT THIS WAY

Just as a company's credit worthiness plays important role in gaining trust of lenders, — ESG performance of your business plays important role in gaining trust of your global buyers and investors.

ESG on the Factory Floor

What does ESG actually look like inside an Indian MSME?

Your buyer is asking questions you may not expect. Global buyers — from Germany, the UK, the US, Japan — now routinely send ESG questionnaires to their Indian suppliers before placing or renewing orders. This is not a formality. **A failed ESG audit can cost you the business. A detailed checklist is provided in the toolkit section.**

WHAT GLOBAL BUYERS TYPICALLY CHECK — ACROSS ALL SECTORS

E · Environment	S · Social	G · Governance
→ How much energy & water does your unit consume? → How do you manage waste and effluents? → What chemicals or inputs do you use? → Do you track your carbon footprint? → Are your inputs responsibly sourced?	→ Are workers paid minimum wage or above? → Are working hours within legal limits? → Is there emplolyee health & safety policy in place? → Are workers enrolled in PF & ESIC? → Is there a worker grievance mechanism?	→ Are GST returns and accounts up to date? → Do you have a registered business entity? → Can you share audited financials? → Are all required licences valid? → Is there a written HR or conduct policy?

SECTOR SPOTLIGHT · ▯ GARMENTS & HANDLOOM

Meet Ramesh Gupta — owner of a 45-worker garment unit in Kanpur. His German buyer just sent an ESG questionnaire before renewing a ₹8 crore annual order.

The buyer's E questions asked about effluent treatment from dyeing and monthly electricity consumption per unit. Ramesh had never measured this.

His next step: Install a basic energy meter, document water use, and get an OEKO-TEX certificate for his fabric inputs — achievable in under 3 months with MSME Sustainable Textiles Programme support.

Key Insight: ESG is not a new burden — most of it is **good business practice you may already follow.** The difference is that now you need to **document it, measure it, and report it, if needed.**

Benefits of ESG – For your Business

ESG is not just compliance — it is a direct business advantage. Here is what it actually delivers.

TANGIBLE BENEFITS · THINGS YOU CAN MEASURE

Four tangible benefits of ESG for your business

Cost reduction
Lower energy and water bills

Switching to LED lighting saves □40,000–□80,000 per year in a medium factory. Water recycling cuts input costs by 15–20%.

Already doing it? Document it — that's your ESG.

Easier & cheaper loans
ESG = lower borrowing cost

SIDBI green loans are 1–2% cheaper for ESG-compliant MSMEs. On a □50 lakh loan that is □50,000–□1L saved/yr.

ZED certification also unlocks collateral-free credit.

Market access
Export to EU, US, Japan

EU CSDD makes ESG a legal requirement for your buyer's supply chain from 2027. Start now to stay on approved lists.

ESG-certified units earn 1.7× more per unit exported.

Business resilience
Protect against shocks

Good governance, safe workplaces, and honest records protect you in audits, disputes, and crises.

ESG-ready firms survive supply chain disruptions better.

INTANGIBLE BENEFITS · THINGS THAT COMPOUND OVER TIME

Brand Reputation

50% of global consumers pay a premium for sustainable brands. 62% factor in a company's social and environmental record before buying. Your brand story is your ESG story.

Source: IBM Institute for Business Value, 2022

Employee Satisfaction

Indian MSMEs with sustainability practices report better bottom lines (23%), higher retention (21%), and stronger community ties (20%). Good ESG retains skilled workers — your biggest hidden cost saving.

Source: Dun & Bradstreet Survey for SIDBI

Innovation

ESG constraints drive better product design. Apex Packaging in Mumbai developed biodegradable packaging after India's plastic ban — what began as compliance became a new product line and new B2B markets.

Constraints are the mother of innovation.

The Business Case in One Sentence: ESG-aligned MSMEs reduce costs, access cheaper capital, win better contracts, retain more workers, and build brands that last — **all at the same time.**

Why ESG Matters Now

Why ESG matters for Indian exporters — in numbers

$40T+
Global sustainable investment assets
Buyers managing these funds ask suppliers for ESG data before ordering

50%
EU & US buyers already require ESG disclosure
From suppliers in their garment, leather, and food supply chains

1.7×
Higher export price for ESG-certified MSMEs
Compared to non-certified units selling to the same international buyers

1–2%
Lower loan interest rate from SIDBI green loans
For MSMEs with ESG credentials — saves up to □1L/yr on □50L loan

The Global Shift — What's Driving It

Global Buyers Are Demanding It
EU, US & UK supply chain laws now require ESG disclosures from Indian exporters.

Banks & Investors Require It
ESG compliance is now a key condition for green loans, impact funds & export credit.

India's Regulations Are Catching Up
SEBI's BRSR framework already mandates ESG reporting for top listed companies — MSMEs are likely to be part of supply chain disclosure.

Consumers Are Choosing Consciously
Younger buyers globally prefer brands with proven environmental and social credentials.

MSMEs Who Said Yes to ESG — And What They Gained

Garment Exporter, Tirupur

WHAT THEY DID

Installed a zero-liquid-discharge system, switched to organic dyes, and registered workers on ESIC.

WHAT THEY WON

Secured a ₹12 crore order from a Swedish retailer that had dropped their previous supplier for failing an ESG audit.

Agri Processor, Punjab

WHAT THEY DID

Got Global G.A.P. certified, introduced traceability in their supply chain, and reduced post-harvest waste by 30%.

WHAT THEY WON

Onboarded by a Dubai-based food chain and accessed a ₹2 crore green loan from SIDBI at 2% below market rate.

Auto Parts Maker, Pune

Footwear Manufacturer, Agra

WHAT THEY DID	WHAT THEY DID
Adopted environment management certification, set up a worker grievance redressal cell, and digitised their compliance records.	Eliminated azo dyes, improved ventilation on the production floor, and began filing ESG self-declarations with MSME portal.
WHAT THEY WON	**WHAT THEY WON**
Tier-1 supplier status with a Japanese automaker and preference in the National Supply Chain Finance Programme.	Retained a long-term EU buyer who was about to switch to a Vietnamese supplier, and reduced worker turnover by 40%.

ESG vs CSR

ESG is often mistaken for CSR. However, the two are fundamentally different.

CSR is a voluntary social contribution — philanthropic in nature and not linked to business performance. ESG is a mandatory business framework — measurable, regulated, and directly tied to market access, financing, and buyer requirements. At best, CSR addresses a narrow slice of the Social pillar of ESG. **It does not substitute for it.**

For a detailed comparison of ESG and CSR — see ***Annexure III.***

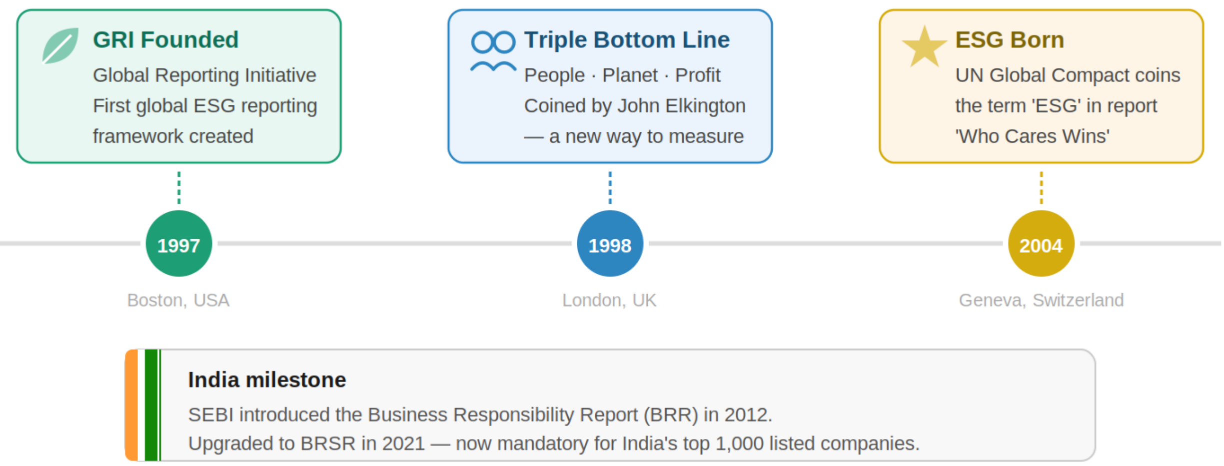
SECTION 02 • **HISTORICAL CONTEXT & INDIAN ROOTS**

How ESG Got Its Name

The world took 2,000 years to put a label on what India already knew.

THE THREE MOMENTS THAT CREATED THE ESG MOVEMENT

How ESG came to be — three milestones



WHAT MADE THE WORLD FINALLY LISTEN

The Investment Community

Pension funds managing trillions of dollars in retirement savings realised that companies destroying the environment or exploiting workers were also long-term financial risks. ESG became the investment lens for filtering out businesses that could not sustain themselves — or the world they operated in.

Climate Change as Accelerant

As extreme weather events multiplied and carbon emissions rose, governments and businesses could no longer treat environmental responsibility as optional. Climate change turned ESG from an ethical preference into a financial imperative — and then into regulation.

The World Gave It a Name. India gave it a **civilisation.** For over two thousand years, India practiced ESG not as a framework — but as a way of life, a code of commerce, a philosophy of governance. And it built the richest economy the ancient world had ever seen.

India's Ancient Business Legacy
& Its ESG Roots

Its ethical business traditions were not incidental to that success. They were the reason for it.

~33%	~25%	₹ No. 1	4%
India's share of world GDP around 1 CE — the largest of any nation on earth	India's share of world GDP as late as 1700 CE — still the world's largest economy	India was the world's top exporter of textiles, spices, steel and precious goods for over a millennium	India's share of world GDP by 1947 — after 200 years of colonial extraction
Angus Maddison, World Historical GDP	Maddison Project Database	Economic History of India, R.C. Dutt	World Bank / Maddison

WHAT DROVE INDIA'S ECONOMIC DOMINANCE — AND HOW IT MAPS TO ESG

Environmental Mastery

E · The Environment Pillar

India's farmers practiced advanced crop rotation, soil management, and water harvesting for millennia. Stepwells across Rajasthan and Gujarat managed scarce water with engineering that rivals modern systems.

The result:

India fed hundreds of millions AND exported agricultural surplus across Asia, the Middle East, and Rome — for over a thousand years.

Social Trust & Craft Excellence

S · The Social Pillar

Shreni guilds — India's ancient trade associations — trained artisans for decades, guaranteed quality, maintained worker welfare, and built trusted brand reputations that carried Indian goods across continents.

The result:

Indian muslin was so fine it was described as "woven air". Indian steel — Wootz — was the most prized material for swords in the world, traded from Arabia to Japan.

⚖ Governance & Ethical Commerce

G · The Governance Pillar

The Hundi system — India's medieval merchant banking — operated across continents on the basis of trust and reputation alone. Kautilya's Arthashastra laid out anti-corruption laws and transparent trade codes 300 years before the Common Era.

The result:

Indian merchants commanded premium prices in every market they entered — because their goods and their word were equally reliable.

The Parallel Is Unmistakable: Environmental stewardship. Social trust. Governance integrity. These were not values India held despite its commercial ambitions — they were the **engine** of its commercial dominance. ESG worked in ancient India. It will work again.

Long before global investors coined the term "ESG", Indian businesses, farmers, and communities practised its principles through culture, tradition, and wisdom passed down through generations. The three pillars of ESG — **Environmental stewardship, Social responsibility, and Governance integrity** — are deeply embedded in India's civilisational heritage.

HOW INDIA'S TRADITIONAL WISDOM MAPS TO MODERN ESG

	E · Environment	S · Social	G · Governance
Traditional Concept	**Vriksha Ayurveda** Ancient Indian plant science — detailed texts on soil health, water conservation, seed preservation, and ecological farming that predate modern sustainability by millennia.	**Shramadana** Community labour sharing — voluntary collective work for common good. Practised across villages for harvests, water management, and temple maintenance. The original community social responsibility.	**Kautilya's Arthashastra** Written c. 300 BCE — a comprehensive treatise on statecraft, economic governance, anti-corruption measures, transparent trade, and ethical business conduct. India's original governance framework.
In Practice	→ Stepwells (vav/baoli) for water harvesting → Sacred groves (Dev Vans) as protected forests → Bishnoi community — tree & wildlife protection since 1700s → Traditional crop rotation & zero-waste farming	→ Seth-Mahajan system of merchant philanthropy → Dharamshala, wells & community infrastructure built by traders → Jajmani system — mutual obligation between artisans & community → Panchayat systems for inclusive local decision-making	→ Hundi system — trust-based merchant banking since medieval times → Shreni guilds — self-regulated trade associations with codes of conduct → Satyameva Jayate — truth as the foundation of commerce → Royal edicts (Ashoka's Pillars) mandating ethical trade

The Insight: India does not need to copy ESG from the West — it needs to **reconnect with its own heritage** and translate it into the language of modern global business.

From Dharmic Ethics to Modern ESG

CORE INDIAN PRINCIPLES & THEIR MODERN ESG EQUIVALENT

ESG is not new to India — it is in our roots

Modern ESG gives a name and a number to what India has always practised

INDIAN PRINCIPLE	WHAT IT MEANS	MODERN ESG EQUIVALENT
Vasudhaiva Kutumbakam *The world is one family*	The world is one family — every action affects everyone	**Scope 3 emissions, supply chain** responsibility, global ESG reporting
Dharma in Business *Kautilya's Arthashastra*	Conduct trade with righteousness, honesty, and duty	**Governance — anti-corruption,** ethical conduct, fiduciary duty
Aparigraha *Non-greed*	Take only what you need; avoid excess accumulation	**Circular economy, resource** efficiency, waste reduction
Pancha Bhoota *Five sacred elements*	Respect for earth, water, fire, air, and space	**Environmental stewardship —** carbon, water, land, air quality
Trusteeship (Gandhi) *Steward, not owner*	Business owners are trustees of society's wealth, not owners	**Stakeholder capitalism, ESG** materiality, community investment
Swadeshi *Local self-reliance*	Prefer local, ethical, self-reliant production chains	**Supply chain localisation,** responsible sourcing, MSME empowerment

For MSMEs: You are not starting from zero. India's business heritage is a **competitive advantage.** When a global buyer asks about your sustainability practices, your answer can begin with centuries of tradition.

SECTION 02 • HISTORICAL CONTEXT & INDIAN ROOTS

From Disruption to Revival — ESG as India's Homecoming

India's sustainable business traditions did not simply fade away — they were disrupted by a cascade of forces across two centuries. Understanding this history is not just academic. It explains why so many MSMEs today operate without the systems their predecessors took for granted — and why rebuilding them is not a foreign imposition but a homecoming.

FIVE FORCES THAT DISRUPTED INDIA'S SUSTAINABLE BUSINESS SYSTEMS

01 **Colonial Dismantling (Pre-1947)**

British colonial policy systematically dismantled India's indigenous economic systems. The Shreni guilds — self-regulating trade associations with ethical codes — were broken up. The Hundi trust-banking system was undermined. Handloom weavers were made uncompetitive by Manchester mill imports. Indigenous knowledge was dismissed as unscientific. The institutional memory of sustainable practice was not just outgrown — it was actively erased.

02 **Industrialisation & Factory Economics**

Mass production demanded speed, scale, and cost reduction above all else. Traditional practices — natural dyes, handloom weaving, artisan guild standards, crop rotation — were too slow and too expensive for the factory model. Efficiency replaced ethics as the operating principle. The knowledge of HOW to produce sustainably remained, but the incentive to do so was removed by market economics.

03 **Post-Independence Growth Urgency (1947–1991)**

After Independence, India's priority was food security, poverty reduction, and rapid industrial growth. The Green Revolution, the heavy industry push, and Five Year Plans prioritised output over ecology or social balance. This was a conscious, necessary policy choice — but it created a generation of businesses built entirely on volume metrics with no sustainability benchmarks.

04 **Globalisation & Price Pressure (1991 onwards)**

Post-liberalisation, Indian manufacturers faced fierce global price competition. Margins collapsed. The first thing cut was anything that cost extra — worker benefits, environmental controls, quality of inputs. Racing to the bottom on price meant racing away from sustainable practice. Export volumes grew; sustainability regressed.

05 **Loss of Community & Regulatory Accountability**

Traditional systems were self-regulating — guilds, panchayats, and community norms enforced standards without a government mandate. Modernisation dissolved these structures without replacing them with equally strong formal regulation. This created a vacuum where poor environmental and social practices went unchecked for decades.

HOW THIS PLAYED OUT — SECTOR SPOTLIGHTS

SECTOR SPOTLIGHT · ? GARMENTS & HANDLOOM

BEFORE · Traditional Practice	AFTER · Post-Industrialisation
Weavers used madder root (Rubia tinctorum) and natural indigo — dye effluent was pH-neutral and used to irrigate fields. Handloom produced 3–4 metres/day per weaver. Fabric offcuts were composted or stuffed into quilts — near-zero waste. Ustad-apprentice training lasted 7 years; the master weaver's social contract included the apprentice's livelihood and skill inheritance.	Synthetic azo dyes (introduced post-1960s) cut costs by 60% but are carcinogenic — 118 azo compounds banned in EU export markets since 1994. Powerlooms produce 240 metres/day but consume 3× more energy per metre. Effluent from dyeing units in Surat, Tirupur, and Panipat now requires treatment plants that 70% of small units lack. Weavers became daily-wage workers with no ownership stake or skill continuity.

SECTOR SPOTLIGHT · AGRI & FOOD PROCESSING

BEFORE· Traditional Practice	AFTER· Post-Industrialisation
Bajra-tur-jowar intercropping naturally fixed atmospheric nitrogen — eliminating fertiliser need entirely. Village ghanis (bullock-driven oil presses) processed oilseeds locally with zero chemical solvents. The farmer was processor and seller — a 1-actor supply chain. Community grain banks (kothar) managed surplus without refrigeration or waste.	Green Revolution HYV monocultures required urea — India's chemical fertiliser use rose from near-zero to 18 million MT/year by 2005, acidifying 30% of agricultural soil. Industrial solvent extraction replaced ghanis — hexane-based processing raises food safety concerns. A 4-layer fragmented supply chain (farmer → aggregator → processor → retailer) now loses 35–40% of perishables to post-harvest waste annually (NABARD, 2022).

SECTOR SPOTLIGHT · IRON, STEEL & METAL INDUSTRIES

BEFORE · Traditional Practice	AFTER · Post-Industrialisation
Wootz steel was produced in small clay crucibles, charcoal-fired — the process generated no toxic slag. Every scrap and offcut was remelted; nothing left the smithy as waste. Vishwakarma guild smiths matched production to local demand exactly — no overproduction. Worker welfare was a guild obligation: injured smiths and their families were supported by the community.	Coal and coke-fired induction furnaces in clusters like Mandi Gobindgarh (Punjab) and Howrah (West Bengal) became major particulate pollution zones — air quality violations documented throughout the 1990s–2010s. Informal scrap sourcing introduced child labour in scrap yards (documented by CRY and ILO in pre-2005 surveys). Formal PPE standards for foundry workers were not enforced until Factory Act amendments in 1987, and compliance among MSMEs remained low well into the 2000s.

The Opportunity Now: ESG frameworks are asking Indian businesses to do what their predecessors already did naturally. The challenge for today's MSME is not to invent new values — it is to **formalise, document, and prove** the values their industry was founded on.

The Gap: India holds a fraction of its potential share in every one of these markets. The countries and companies eating into that gap are moving faster on ESG compliance. **ESG is not the obstacle to export growth. It is the accelerator.**

The World is Buying from India.
Are You Ready to Sell?

India's MSME sector contributes **45–46% of total merchandise exports (FY23-24)** and employs over 110 million people across all MSME activity. Global demand for Indian goods is growing — but the rules of the game have changed. Today, **ESG compliance is the entry requirement** for accessing the markets listed below.

$437B	45–46%	$1T	110M+
India's merchandise exports FY23-24 ($777B incl. services)	Share of merchandise exports from MSMEs (FY23-24)	India's total exports target by 2030	People employed across India's MSME sector
Ministry of Commerce	MSME Ministry, FY24	Govt. of India	MSME Annual Report 2023

GLOBAL MARKET OPPORTUNITY — KEY SECTORS

SECTOR	INDIA'S CURRENT EXPORTS	GLOBAL MARKET SIZE	INDIA'S SHARE	KEY BUYER MARKETS
Garments & Handloom	**~$17B apparel (FY23-24)**	~$1.7 Trillion	**~1.8%**	USA, EU, UK, UAE, Canada
Agri & Food Processing	**~$50–60B agri & allied (FY23-24)**	~$10–13T+ (agrifood systems)	**<1% of global agrifood**	USA, UAE, Bangladesh, Saudi Arabia, Indonesia
Footwear	**~$3–5B+ (FY23-24)**	~$400B est. (2024)	**<1%**	USA, UK, Germany, France, UAE
Electronics & Smartphones	**$29B (FY23-24)**	~$3–4T (electronics hardware)	**<1% est.**	USA, UAE, Netherlands, UK, Germany
Iron, Steel & Aluminium	**~$20–25B (FY23-24)**	~$1.7T (2024)	**1–3% est.**	USA, UAE, Nepal, Italy, Belgium

** Sources: Ministry of Commerce, PIB, MSME Ministry, industry reports (2023–25). Export figures are approx./est. where ranges are shown; global market sizes are indicative. FY figures refer to FY23-24 unless noted.*

New Trade Agreements. New ESG Obligations.

Every major trade deal India has signed or is negotiating comes with sustainability clauses. Here is what that means for your MSME.

India has concluded four major trade agreements since 2022 and every single one contains sustainability, labour, or environmental clauses — and they flow directly down to the MSME exporters supplying into those markets. **A trade deal is not just a tariff reduction. It is a new set of rules your business must meet.**

KEY TRADE AGREEMENTS — STATUS, ESG OBLIGATIONS & MSME IMPLICATIONS

AGREEMENT	STATUS	KEY SUSTAINABILITY CLAUSE	WHAT IT MEANS FOR YOUR MSME
UAE–India CEPA	✓ IN FORCE May 2022	Includes halal standards, food safety and traceability requirements, and sustainability provisions for agri and food exports. UAE's Farm to Fork mandate requires full supply chain traceability for food products.	**Indian agri, food processing, meat, and packaged goods exporters must meet UAE traceability and halal certification requirements to access preferential CEPA tariff rates. Zero-duty access on 80%+ of Indian goods.**
Australia–India ECTA	✓ IN FORCE Dec 2022	Includes labour rights provisions and environmental cooperation commitments. Australian buyers apply ESG supply chain due diligence under the Australia Modern Slavery Act.	**Indian garments, leather, and food exporters targeting Australia must document worker welfare and no forced labour. Preferential tariffs now apply to 85%+ of Indian exports — but only for ESG-compliant suppliers.**
EFTA–India TEPA	✓ SIGNED March 2024	First Indian FTA with a dedicated Trade and Sustainable Development (TSD) chapter. Covers ILO core labour standards, environmental obligations, and a no-rollback commitment on labour and environmental protections.	**Swiss, Norwegian, Icelandic, and Liechtenstein buyers now have a treaty basis to require ESG compliance. Opens $100B+ market for pharma, chemicals, textiles, and precision engineering MSMEs with preferential access.**
UK–India Free Trade Agreement	✓ SIGNED May 2025	Includes a Green Trade chapter covering environmental goods, carbon pricing, and supply chain sustainability. UK Modern Slavery Act obligations on Indian suppliers are now formally embedded as treaty commitments.	**Zero or reduced tariffs on garments, leather, food, footwear, and engineering goods. UK is India's top 5 export destination — ESG-compliant MSMEs now have a structural price advantage over non-compliant competitors in this market.**
EU–India Free Trade Agreement	SIGNED JANUARY 2026	EU template requires Paris Agreement compliance, ILO standards, and supply chain due diligence under CSDD. CBAM already applies to steel, aluminium, cement, and fertiliser exports regardless of FTA outcome.	**When concluded, this will be India's most consequential trade deal. ESG compliance will be a formal market access condition. MSMEs must begin documentation now — the EU FTA will reward those already prepared.**

The Bottom Line: All of India's important trade relationships now have signed agreements with active sustainability obligations. The global market India is accessing is the same market raising the ESG bar. **Preparing for ESG and preparing for export growth are the same thing.**

ESG is the Entry Ticket to Global Markets

The data is clear: global buyers are not just **preferring** ESG-compliant suppliers — they are **dropping those who are not.** Here is the regulatory and commercial pressure driving that shift, market by market.

WHAT YOUR BUYER MARKETS ARE NOW REQUIRING

MARKET	KEY REGULATION	WHAT IT DEMANDS FROM INDIAN SUPPLIERS	SECTORS MOST AFFECTED
European Union	**CSDD (Corp. Sustainability Due Diligence) + CBAM**	Full supply chain ESG due diligence; carbon footprint disclosure; no deforestation-linked inputs; ban on products made with forced/child labour	**Garments, Agri, Footwear, Steel**
United States	**Uyghur Forced Labor Prevention Act + SEC Climate Rules**	Proof of no forced labour in supply chain; climate risk disclosure for listed buyers; ESG attestations from Tier-2 & Tier-3 suppliers	**Garments, Footwear, Electronics**
United Kingdom	**UK Modern Slavery Act + Green Claims Code**	Anti-slavery statements, ethical sourcing declarations; ESG claims must be substantiated with verifiable data	**Garments, Agri, Footwear**
UAE / Middle East	**UAE Net Zero 2050 + Green Procurement Policies**	Suppliers to government and large corporates must demonstrate environmental credentials; Halal + ESG increasingly linked for food exports	**Agri/Meat, Garments, Steel**
Japan	**GX (Green Transformation) Policy + TCFD Adoption**	ESG reporting aligned with TCFD; preference for ISO 14001 certified suppliers; strict quality and traceability standards	**Auto/Metal, Electronics, Agri**

✓ ESG-READY MSME	✕ NON-ESG MSME
→ Passes buyer audits — retains existing orders → Qualifies for new EU/US/UK tenders → Access to green finance at lower rates → Commands 5–15% price premium for certified products → Supply chain preferred status with large corporates	→ Fails buyer audits — loses contracts to competitors → Excluded from regulated market tenders → Higher borrowing costs, limited financing options →Undercut on price by ESG-certified rivals from Vietnam/Bangladesh → Dropped from supply chains as CSDD compliance deadlines approach

Global Best Practices — ESG in Action

What leading companies did — and what Indian MSMEs can learn from it

Every sector has a playbook already available — through companies that adopted ESG early and captured market share as a result. You do not need to invent the wheel. You need to **understand what they did, apply it to your scale, and demonstrate it to your buyer.**

SECTOR SPOTLIGHT · ⍰ GARMENTS & HANDLOOM — GLOBAL MARKET: $1.7T · INDIA'S SHARE: ~1.8%

H&M (Sweden) — What They Did

H&M asked every factory supplying them to fill in a standardised scorecard — called the Higg Index — which measures how much water and energy the factory uses, what chemicals go into dyeing and finishing, and whether workers are paid fairly. This is not a one-time form. It gets updated every year. Factories that could not show improvement over time were given 18 months to fix things — and then replaced.

They also required proof that no banned chemicals were used — specifically, a list called ZDHC MRSL, which is simply a global agreement on which chemicals are too dangerous to use in clothing that people wear against their skin.

Result: H&M reduced the total water used across its supply chain by up to ~30% over several years. EU regulators now use this programme as the model for what good looks like.

What an Indian garment MSME needs to do

If you export to European brands, your buyer is very likely going to send you this same Higg scorecard within the next 1–2 years — if they have not already. The practical steps are simpler than they sound:

→ Install a basic electricity and water meter on your production floor and record monthly readings

→ Ask your dye supplier for a certificate confirming no banned chemicals — most reputable suppliers already have this

→ Keep a register of what chemicals you use and how you dispose of them

→ India's STAI programme (Sustainable Textiles of India) offers subsidised help to get Higg-ready

Indian ESG-certified textile exports saw double-digit growth in EU markets where buyers prioritised certified suppliers (2022–23).

☎ Indian MSME — Proof it Works

A Tirupur garment cluster unit serving European buyers completed Higg FEM assessment and switched to ZDHC-compliant dyes in 2022. **Before:** ₹9.2 crore annual exports, 2 EU buyer relationships, 1 rejected shipment for chemical non-compliance.

After (18 months): ₹16.5 crore exports (+79%), 5 EU buyer relationships, zero rejections. Water consumption per unit reduced 28%.

SECTOR SPOTLIGHT · AGRI & FOOD PROCESSING — GLOBAL MARKET: $10T+ · INDIA'S SHARE: ~0.5%

Olam International (Singapore) — What They Did

Olam sources agricultural commodities from over 500,000 smallholder farmers globally. Their problem was simple: a buyer like Nestle or Walmart would ask — 'Where did this crop come from? Was it grown without clearing forests?

What an Indian agri/food processing MSME needs to do

The core question your EU or Gulf buyer will ask is: 'Can you tell me where this crop came from and prove it was grown responsibly?' Right now, most Indian agri-processors cannot answer this. The fix is not expensive:

Were the farmers paid fairly? Were children used for labour?' — and Olam could not answer with proof.

So they built a digital platform called AtSource — essentially a mobile-based record-keeping system where every farmer's details, practices, and income are logged. When a buyer asks the traceability question, Olam can now show the answer farm by farm. Buyers now pay Olam a reported premium of 3–7% because they can prove the supply chain is clean.

Result: Retained anchor buyers Nestle, Unilever, and Walmart, who had threatened to source from Africa and Brazil instead.

→ Register on APEDA's TraceNet portal — it is free and gives your exports a scannable traceability certificate

→ Maintain purchase records from named farmers or mandis — this is the minimum 'paper trail' buyers need

→ Get a pesticide residue test report from an NABL-accredited lab before each export shipment

→ If you process for EU markets: GlobalG.A.P. certification (a farm-level audit standard) is increasingly non-negotiable

India's basmati exports to the EU fell significantly (approx. 15–20%) in 2022 because of pesticide residue failures. Traceability — knowing exactly what went into your crop — is how you prevent that.

☎ Indian MSME — Proof it Works

A rice milling and export unit in Amritsar, Punjab registered on APEDA TraceNet, obtained GlobalG.A.P. certification for its farmer network, and introduced NABL pesticide testing per batch.

Before: Two EU shipments rejected in 2021 for pesticide residue. Only Gulf spot-market sales. Revenue: ₹4.8 crore.

After (2 years): Secured a €1.8M annual EU supply contract. Zero rejections. Revenue grew to ₹11.3 crore. SIDBI green loan of ₹2.2 crore accessed at 1.8% below market rate.

SECTOR SPOTLIGHT · 📱 ELECTRONICS & SMARTPHONES — GLOBAL MARKET: $3.8T · INDIA'S SHARE: ~0.6%

Apple Inc. (USA) — What They Did

Apple decided that every factory making parts for its products — from a chip component unit in Taiwan to a phone assembly plant in India — had to pass a detailed audit covering three things: worker safety and rights, environmental impact, and business ethics. This audit system is called the RBA Code (Responsible Business Alliance) — think of it as a report card for factories that global tech buyers use.

Beyond audits, Apple also told all its suppliers: by 2030, your factory must run entirely on renewable energy — solar, wind, or hydro. They will help pay for it, but non-compliant factories will be removed from the vendor list.

Result: Several Indian factories in Apple's supply chain — in Tamil Nadu and Telangana — are now under direct ESG audit. Those that passed have seen significant order growth.

What an Indian electronics MSME needs to do

India's electronics exports hit $23B in FY2024 — mostly from PLI-backed assembly units. But as exports grow, the ESG bar rises. The EU's new Ecodesign rules now require that any electronic product sold in Europe must be repairable, recyclable, and made without certain conflict minerals (tin, tungsten, gold, tantalum mined in conflict zones). Here's what that means practically:

→ If you manufacture components: get a bill-of-materials from your raw material supplier confirming no conflict minerals

→ Begin tracking your factory's electricity use per unit of output — this is the starting point for the RBA energy audit

→ Install LED lighting and a basic solar panel — this counts toward the renewable energy requirement

→ CII's ESG Supplier Development Programme offers RBA readiness training specifically for Indian electronics MSMEs

Every large electronics brand sourcing from India — Apple, Samsung, Foxconn — now audits its Indian suppliers using the RBA Code. Being ready is not optional.

☎ Indian MSME — Proof it Works

A PCB assembly unit in Sri City, Andhra Pradesh passed its first RBA Code audit in 2023 after installing energy metering, issuing conflict-mineral declarations, and completing a worker safety audit.

Before: Tier-3 vendor status. ₹6.4 crore annual orders. Two failed pre-qualification audits for a Korean OEM.

After (18 months): Upgraded to Tier-2 vendor. Orders grew to ₹10.8 crore (+69%). Added 2 new global OEM relationships directly attributable to RBA certification status.

SECTOR SPOTLIGHT · FOOTWEAR — GLOBAL MARKET: $380B · INDIA'S SHARE: ~0.4%

Ecco (Denmark) — What They Did

Ecco's problem was leather — specifically, how it is tanned. Traditional tanning uses chromium salts, which are efficient but produce toxic wastewater. The EU's REACH regulation (a chemical safety law that bans certain hazardous substances and in products sold in Europe) classifies one form — Chromium VI — as a carcinogen and bans it in leather goods.

Ecco got all its tanneries certified by the LWG — the Leather Working Group, an international body that audits tanneries on water treatment, chemical use, traceability of hides, and worker conditions. Gold certification means your tannery passed the highest level of that audit.

Result: While competitors in lower-ESG countries lost access to German, French, and Dutch retail chains, Ecco grew premium market share in the same period.

What an Indian footwear MSME needs to do

Indian leather — primarily from Agra, Chennai, and Kolkata — already faces EU entry restrictions because of Chromium VI. If your footwear or leather goods go to Europe, your tannery or leather input supplier needs to show it has been tested cleared. Here is the practical path:

→ Ask your leather supplier for a Chromium VI test report from an accredited lab — this single document keeps your EU shipment from being rejected at customs

→ Request that your leather supplier register for LWG assessment — it takes 12–18 months but unlocks the entire EU premium market

→ FDDI (Footwear Design & Development Institute, Noida/Agra) runs subsidised LWG readiness workshops specifically for MSME tanneries and footwear units

→ For non-leather footwear: get OEKO-TEX Standard 100 — a test that confirms no harmful chemicals in your final product

India's footwear export target is $8B by 2030. That number is not achievable if Indian leather cannot enter EU markets. LWG certification is the key that unlocks the door.

Indian MSME — Proof it Works

An Agra-based leather footwear exporter worked with FDDI to achieve LWG Silver certification in 2022, eliminating Chromium VI from their tanning inputs and installing a basic ETP.

Before: 3 EU shipments held at customs in 2021. Revenue ₹7.1 crore, entirely from Gulf and domestic markets.

After (2 years): ₹13.4 crore revenue (+89%), EU buyers now represent 38% of orders. Secured a German retail chain contract at a 22% price premium over non-certified competitors.

SECTOR SPOTLIGHT · IRON, STEEL & ALUMINIUM — GLOBAL MARKET: $900B+ · INDIA'S SHARE: ~1.7%

SSAB (Sweden) — What They Did

Making steel conventionally uses coal and coke in a blast furnace — a process that emits roughly 1.8–2 tonnes of CO_2 for every tonne of steel produced. SSAB partnered with Vattenfall (a power company) and LKAB (a mining company) to replace coal with green hydrogen — hydrogen made from water using solar and wind energy. Their process, called HYBRIT, now produces steel with 98% less CO_2.

Why does this matter for India? The EU has introduced a Carbon Border Adjustment Mechanism — CBAM. In plain terms: if you sell steel into Europe and your production process emits a lot of carbon, you pay a tax at the EU border. This tax comes into full effect in 2026 and grows every year after that.

Result: Volvo, Mercedes, and Caterpillar now pay SSAB a reported premium in the 20–30% range for fossil-free steel, and use it in their marketing.

What an Indian steel/metal MSME needs to do

You do not need HYBRIT technology — that is for the large producers. But the CBAM carbon tax will hit every Indian steel exporter to the EU starting 2026, regardless of size. The first step is not to reduce carbon — it is to measure and document it. The EU needs you to report. Here is how to start:

→ Record your furnace fuel consumption per tonne of output — electricity (kWh), coal (kg), gas (cubic metres) — monthly

→ Ask your electricity provider what percentage is from renewable sources — this number matters in your CBAM filing

→ Switch at least part of your energy use to the grid's green power options or on-site solar — this directly reduces your CBAM liability

→ For scrap-based steel making (Electric Arc Furnaces): your carbon intensity is already much lower than blast furnaces — document this and use it as a selling point

→ BEE's (Bureau of Energy Efficiency) PAT Scheme offers incentives for MSMEs that reduce energy intensity

MSMEs that begin carbon tracking now will have 3 years of documented data before the CBAM penalties start biting — a head start that competitors who wait will not have.

☎ **Indian MSME — Proof it Works**

A structural steel fabricator in the Raipur cluster began monthly carbon tracking, registered on ZED, and achieved ZED Bronze in 4 months. They used their documented energy data to access a BEE PAT scheme incentive.

Before: ₹38 crore revenue. No ESG documentation. Unable to qualify for Tata Steel or JSW vendor programmes.

After (12 months): Approved as a JSW vendor. ₹2 crore green working capital loan from SBI at 0.75% below market. Energy cost reduced ₹18L/year. Revenue grew to ₹51 crore.

The Common Thread: In every sector, the companies that treated ESG as a competitive strategy — not a compliance burden — **retained buyers, grew revenues, and built supply chains, their competitors could not replicate.** The playbook is available. India's MSMEs now need to execute it.

South Asian- Best Practices.

South Asian MSMEs — same size, same markets, same challenges — are already winning with ESG. India has more capability, more workers, and more raw material diversity than any of them.

It is not just H&M, Apple, and SSAB that made ESG work. Factories and farms across Bangladesh and Thailand — businesses no larger than many Indian MSMEs — used ESG certification to break into premium global markets, retain major buyers, and grow revenues. These are not multinationals. These are your direct competitors.

SECTOR SPOTLIGHT · ▯ GARMENTS — SEPAL GARMENTS LIMITED, GAZIPUR, BANGLADESH

What Sepal Did

Sepal Garments is a 100% export-oriented garment manufacturer in Gazipur, Bangladesh — a BGMEA member producing 10 million pieces annually. In 2023 they published their first GRI-aligned Sustainability Report, set Science-Based Targets (SBTi) committing to a 50.4% reduction in Scope 1 and 2 emissions by 2032, and began working with a global brand to map and address Scope 3 emissions across their supply chain.

Result: LEED Platinum certification (score: 85/110) — the highest green building rating from the US Green Building Council. One of 91 Platinum-rated factories in Bangladesh's now 229-strong certified factory base.

What this means for Indian garment MSMEs

Bangladesh now holds 61 of the world's top 100 LEED-certified garment factories. When a European buyer evaluates a Bangladesh factory against an Indian factory, the Bangladesh unit often comes with a GRI report and an SBTi emissions target. The Indian unit often comes with nothing. The order goes to Dhaka.

India's Tirupur and Surat clusters have the scale. What they lack is documentation. Sepal's path — GRI report first, then SBTi targets — is achievable for any organised Indian garment cluster unit.

The gap is not capability. It is urgency.

SECTOR SPOTLIGHT · ▯ TEXTILES — ANANTA HUAJING LIMITED, NARAYANGANJ, BANGLADESH

What Ananta Huajing Did

Ananta Huajing is a textile manufacturing unit in Narayanganj — Bangladesh's industrial heartland. The unit invested in energy-efficient machinery, water recycling systems, and worker welfare infrastructure, then submitted to the USGBC's LEED assessment process — a rigorous, internationally recognised audit of a factory's environmental performance.

Result: LEED Gold certification (score: 63/110). This single certification directly qualified Ananta Huajing for supply chains of European and American brands that maintain approved vendor lists requiring minimum LEED Silver or above.

What this means for Indian textile MSMEs

LEED certification is not only for large factories. The USGBC's process is available to any manufacturing unit — and India's ZED scheme is structurally similar: a structured assessment of environmental and quality performance leading to a credible, internationally communicable rating.

Indian textile units in Surat, Tirupur, and Ludhiana that pursue ZED Gold or LEED equivalents now gain access to the same buyer qualification lists that Ananta Huajing entered. The certification cost is subsidised up to 80% under the Government of India's ZED scheme.

Bangladesh did not wait for buyers to ask. India should not either.

SECTOR SPOTLIGHT · AGRI EXPORT — MONTHONG DURIAN EXPORTERS, THAILAND

What Thailand's Monthong Exporters Did

Monthong ("Golden Pillow") is Thailand's most exported durian variety. Thai exporters faced a crisis in 2023–24 when Chinese customs began rejecting shipments for chemical residue violations — specifically the dye Basic Yellow 2. The exporters who survived and grew were those with three things in place: GAP and GlobalG.A.P. farm certification, a Geographical Indication (GI) registration, and farm-to-port traceability documentation.

Result: GI-certified Monthong durian became Thailand's single highest-earning GI product — generating over 11 billion baht in 2025. GI registration alone drives a 2–5x price premium over uncertified produce.

What this means for Indian agri-export MSMEs

India's agri exporters face the identical challenge: Chinese and EU buyers began rejecting Indian shipments for pesticide residue and traceability failures — the same crisis Thailand faced. The Thai response was certification-led and systematic.

India has its own GI infrastructure — 635+ registered GI products — but most Indian agri-exporters do not leverage GI as a market access tool in the manner that Thailand does. Combined with APEDA TraceNet registration and GlobalG.A.P. certification, GI status can command the same 2–5x price premium in UAE, EU, and Chinese markets.

Thailand turned a rejection crisis into a premium export story. India's agri-exporters are still in the crisis phase. The difference is documentation.

The message is simple: Bangladesh has 229 LEED-certified garment factories. Sri Lanka built its entire apparel export identity around sustainability. India has more MSMEs, more skilled workers, and more raw material diversity than either — and is now building the same advantage.

Ecolabels — The Market's Proof of Your ESG Practices.

ESG readiness and ecolabel certification are the same work. One builds the system. The other puts the label on the product.

BRSR / GRI evaluate your company's overall ESG performance.
They assess how responsibly your business operates as a whole — governance, labour practices, environmental footprint.

Ecolabels sit directly on your product.
They communicate sustainability directly to the buyer or end consumer — on the retail shelf, in the purchase order, in the tender document.

WHY ECOLABELS ARE NOW A MARKET ENTRY REQUIREMENT

Beating Greenwashing
Buyers and consumers have grown sceptical of self-declared 'green' claims. Ecolabels provide independent, third-party verified proof — the only form of sustainability claim that major procurement departments now accept without question.

B2B Procurement Mandates
Large corporations and government bodies are embedding ecolabels into their procurement policies. If an MSME does not carry the required label, they are excluded from the bidding process — not penalised, simply not considered.

Price Premium & Market Access
Products carrying globally recognised ecolabels consistently command a 10–30% price premium in EU and US markets. In B2B contexts, the premium is often built directly into the contract price.

India Ecomark — Domestic Advantage
The Government of India's Ecomark scheme, relaunched under Mission LiFE in October 2023 with the iconic green matka symbol, gives certified MSMEs a direct advantage in government procurement — where Ecomark is now a preferred qualification.

KEY ECOLABELS BY SECTOR — WHAT BUYERS ARE ASKING FOR

SECTOR	RELEVANT ECOLABELS	WHAT IT PROVES TO BUYERS
Garments & Textiles	GOTS · OEKO-TEX Standard 100 · BCI	Textiles made from organic fibres; no harmful chemicals (Azo dyes, restricted substances); cotton sourced sustainably. Non-negotiable for EU fashion supply chains.
Agri & Food Processing	India Organic · Fairtrade · Rainforest Alliance	Crops grown without synthetic pesticides; farmers paid fair wages; local biodiversity protected. Required for premium EU, UK, and Gulf food retail channels.
Footwear & Leather	LWG (Leather Working Group)	Tannery manages wastewater responsibly; restricts hazardous chemicals including Chromium VI. Required for Clarks, Deichmann, and most EU footwear brands.
Metal & Handicrafts	FSC · Indian Ecomark	Wood sourced from responsibly managed forests; product meets CPCB environmental criteria. Growing requirement in EU sustainable retail and government procurement.
Electronics	EPEAT · Energy Star · RoHS	Product is energy-efficient, repairable, and free of specific hazardous heavy metals. Mandatory for US government procurement; increasingly required by EU electronics buyers.
All Sectors	ZED · LEED · ISO 14001	ZED: quality and zero environmental effect — all manufacturing. LEED: facility energy and water efficiency. ISO 14001: environmental management system. Each pre-qualifies MSMEs for large domestic and international vendor programmes.

The ESG System Is the Ecolabel System.

A common concern among MSMEs is that pursuing an ecolabel means starting a separate compliance exercise. It does not. The operational improvements required for ESG readiness are the exact prerequisites for ecolabel certification. An ecolabel does not create sustainability — it provides verified, third-party assurance of practices that already exist. **If the ESG system is in place, the ecolabel audit is largely already passed.**

HOW ESG READINESS MAPS DIRECTLY TO ECOLABEL REQUIREMENTS

ZED Certification	Evaluates both manufacturing quality and ecological footprint — perfectly aligned with ESG's E and G pillars. Subsidised up to 80% for MSMEs. Achieving ZED Bronze is the fastest path to domestic ESG credibility and a direct credit rating uplift. It also serves as the entry point for every other certification on this list.
GOTS & BCI (Textiles)	MSMEs that document raw material traceability and eliminate restricted substances as part of their environmental compliance are structurally prepared for both GOTS and BCI assessments. The chemical register and input documentation required by ESG is exactly what these audits check.
LEED (Facility)	Facilities that monitor electricity consumption, install LED lighting, and implement water recycling to meet their Environment pillar targets are simultaneously generating the data required for a LEED audit. Earning LEED pre-qualifies MSMEs for the approved vendor lists of most major Western brands.
Fairtrade	Fairtrade evaluates the Social and Governance pillars of a business. MSMEs that maintain transparent wage registers, prohibit child labour, and enforce health and safety protocols — all statutory requirements already captured in the ESG checklist — are operating in direct alignment with Fairtrade requirements.
Ecomark — Mission LiFE	Relaunched October 2023 under Mission LiFE, administered by CPCB and BIS. The Ecomark is India's domestic benchmark — and strategically, it is the most important starting point. It builds the documentation habits, quality controls, and reporting systems that accelerate the transition to ISO 14001, OEKO-TEX, and Higg FEM. The core environmental data is already in place; the global certification follows.

HOW TO GET STARTED — FOUR STEPS

1	**Identify your target market**	Ask your top three buyers which labels they recognise. Do not invest in a label your specific buyer market does not value — the label must match the market.
2	**Conduct a gap analysis**	Download the standard's criteria — most are available free online — and compare it against your current practices. The ESG checklist in Section 7 of this booklet covers the majority of what any audit will check.
3	**Use government schemes to fund the transition**	ZED scheme, SIDBI Sustainable Finance, MSME Cluster CDP, and ODOP subsidies can all be used to fund machinery upgrades, consulting, and certification costs. Section 6 maps every available scheme.
4	**Audit and certify**	Engage an accredited third-party auditor — SGS, Bureau Veritas, or NABL-accredited labs — to verify your product and formally grant the label. The audit is a verification of what you already do, not an inspection of what you don't.

The Commercial Case: ESG-certified Indian exporters secure a 12–18% price premium over non-certified competitors. An MSME holding a recognised ecolabel is not a replaceable vendor — it is a strategic partner that a multinational buyer depends on to meet its own Scope 3 emissions targets. **That dependency is your negotiating position.**

The frameworks and certification standards behind these ecolabels — GRI, BRSR, ISO 14001, GOTS, Higg FEM — are explained in full in **Section 4: Standards & Protocols — Indian & Global.**

The Frameworks — Explained

GRI. TCFD. SASB. BRSR. UN SDGs. ISO 14001. What do they actually mean for your business?

When a buyer, banker, or regulator asks about your ESG framework, they are really asking one question: **"How do you measure, manage, and report your business's impact on the world?"** The frameworks below are simply different ways of answering that question — each designed for a different audience and purpose.

THE 6 KEY FRAMEWORKS — PLAIN ENGLISH GUIDE

FRAMEWORK	FULL NAME	WHAT IT ACTUALLY IS	WHO REQUIRES IT	MANDATORY IN INDIA?	COST TO START
GRI	**Global Reporting Initiative**	The world's most widely used ESG reporting standard. Think of it as a template for writing your annual sustainability report — it tells you exactly what to disclose about your environmental impact, worker conditions, and governance.	European buyers, impact investors, large corporates	Voluntary (BRSR uses GRI-aligned indicators)	Free to use; report writing costs vary
TCFD	**Task Force on Climate-related Financial Disclosures**	A framework specifically for disclosing climate risk — how rising temperatures, floods, droughts, or new carbon laws could affect your business financially. Required by banks and investors who need to know if your business is exposed to climate disruption.	Banks, global investors, insurance companies	Voluntary; SEBI recommends for top 1000 listed companies	Free framework; internal assessment needed
SASB	**Sustainability Accounting Standards Board**	Industry-specific ESG metrics designed for investors. Unlike GRI (which covers everything), SASB tells you exactly which ESG factors matter most in your specific industry. A garment company's SASB metrics look completely different from a steel company's.	US/global investors, stock exchanges	Voluntary; used by larger Indian exporters	Free to access; industry-specific
UN SDGs	**United Nations Sustainable Development Goals**	17 global goals (e.g., Clean Water, Zero Hunger, Decent Work) that governments and businesses are expected to contribute toward by 2030. Not a reporting framework — more of a strategic alignment tool. Your ESG activities map onto relevant SDGs to show your broader contribution.	Government tenders, CSR programmes, impact investors	Integrated into India's National Action Plan	Free; alignment mapping only

FRAMEWORK	FULL NAME	WHAT IT ACTUALLY IS	WHO REQUIRES IT	MANDATORY IN INDIA?	COST TO START
ISO 14001	**International Organisation for Standardisation — Environmental Management**	A certifiable standard for managing your environmental impact. Unlike reporting frameworks, ISO 14001 tells you how to build a system inside your factory — procedures, monitoring, improvement cycles — to control pollution, waste, and energy use. You get audited and receive a certificate.	EU buyers, Japanese buyers, auto supply chains	Voluntary; often buyer-mandated for exports	₹50,000–2L for MSME certification
BRSR	**Business Responsibility & Sustainability Report**	India's own mandatory ESG disclosure framework, introduced by SEBI. Modelled on the National Guidelines for Responsible Business Conduct. Mandatory for India's top 1000 listed companies — and through BRSR Core, its supply chain version is now cascading down to the MSMEs that supply them.	SEBI, Indian stock exchanges, domestic investors	**✓ MANDATORY for top 1000 listed; BRSR Core cascading to suppliers**	Free framework; compliance costs vary by size

A PRACTICAL REASSURANCE: ESG STANDARDS ARE MODULAR & INTEROPERABLE

MODULAR

You do not have to adopt any framework in full. Every standard — GRI, TCFD, BRSR Core, ISO 14001 — allows you to pick the sections most relevant to your business, your buyer, and your export market. A garment MSME does not need to report on mining-sector indicators. A food processor does not need the steel industry's energy metrics. Start with what matters to your buyer. Add more as you grow.

INTEROPERABLE

The standards are designed to work together, not against each other. If you implement BRSR Core correctly, you have already covered roughly 60--70% of what GRI requires. If you get ISO 14001 certified, your TCFD climate disclosures are largely in place. Doing one well automatically builds readiness for the next. This is not a maze --- it is a ladder.

THE MSME FORMULA: BRSR Core + One buyer-relevant global standard = 80% of your ESG compliance covered.

For most UP MSMEs this means: BRSR Core + one of the following based on your export market:

→ **EU buyers:** GRI (supply chain disclosures) or ISO 14001
→ **US/UK buyers:** SASB (industry-specific) or Social compliance audit
→ **Japanese buyers:** ISO 14001 + TCFD-aligned climate disclosures

ESG IS A JOURNEY --- NOT A DESTINATION

No MSME begins at the finish line. Every business starts somewhere and progresses at its own pace. Here is the pathway.

01	02	03	04	05
?	?	?	?	?
ASSESS	**PRACTISE**	**DOCUMENT**	**CERTIFY**	**REPORT**
Understand where you stand. Use the ESG Readiness Checklist in Section 07 to identify gaps.	Build the daily habits --- track energy, pay fair wages, keep clean accounts. Before any certificate.	Record what you already do. Monthly logs, wage registers, permits. Turn practice into a paper trail.	Invite the auditor. You pass because you already live it --- not because you prepared for the audit.	Share your ESG story with buyers, banks, and investors. Your credential. Your competitive edge.

Remember: Most MSMEs are already at Stage 02 without knowing it. The gap is not effort --- it is documentation. The businesses that move fastest are those that start recording what they already do, today.

BRSR — India's Own ESG Framework

Why every Indian MSME needs to understand BRSR Core — even if you're not listed on a stock exchange

In 2021, SEBI (India's stock market regulator) replaced the old Business Responsibility Report with a far more detailed **Business Responsibility & Sustainability Report (BRSR).** It became mandatory for India's top 1,000 listed companies from FY2022-23. Then SEBI went further — it introduced **BRSR Core**: a subset of key ESG indicators that large companies must now **collect and report for their suppliers and value chain partners — including MSMEs.** In other words: if you supply to any large Indian listed company, they are required to ask you for this data.

THE 9 PRINCIPLES OF BRSR — WHAT THEY MEAN FOR YOUR FACTORY

#	PRINCIPLE	THE JIST	WHAT AN MSME NEEDS TO DO
P1	**Ethical Business Conduct**	Run your business honestly — no bribes, no fraud, no misleading claims.	Have a written code of conduct; register all business activities; maintain GST and tax compliance.
P2	**Sustainable Products & Services**	Make things responsibly — reduce waste and harmful inputs in what you produce.	Track raw material sourcing; document waste generated per unit of output; explore recycled input options.
P3	**Employee Wellbeing**	Treat your workers fairly — pay, safety, health, and dignity at work.	Maintain wage registers; enrol all workers in PF & ESIC; display POSH policy; conduct annual safety checks.
P4	**Stakeholder Engagement**	Listen to those affected by your business — communities, suppliers, workers.	Hold quarterly worker meetings; document community feedback; have a written grievance mechanism.
P5	**Human Rights**	No forced labour, no child labour, no discrimination in hiring or promotion.	Age-verify all workers; prohibit contract labour below legal age; document anti-discrimination policy.
P6	**Environmental Responsibility**	Minimize harmful impact on air, water, and land.	Track monthly energy & water use; manage chemical storage safely; obtain required pollution NOCs.
P7	**Policy Advocacy**	Engage with industry bodies and policy processes responsibly.	Join your sector's MSME association; participate in district industry consultations.
P8	**Inclusive Growth**	Contribute positively to the communities around you.	Document local procurement; track local employment; participate in skill development programmes.
P9	**Customer Responsibility**	Be honest about what your product is and how it was made.	Accurate product labelling; clear buyer contracts; no misleading sustainability claims.

BRSR · Full Report

Mandatory for top 1,000 listed Indian companies from FY2022-23. Covers all 9 principles in detail — quantitative and qualitative disclosures across the full business.

Who files it: Large listed companies i.e. your customers

BRSR Core · Supply Chain Version

A focused set of key performance indicators (KPIs) that large companies must collect from their value chain. Phase-in started FY2023-24. This is how BRSR reaches your MSME.

Who files it: Your large buyer collects this data from YOU.

Which Framework is Right for You?

You do not need to implement every framework. The right approach is to start with what your buyer, banker, or regulator is asking for right now — and build from there. The guide below routes you to the right starting point based on your situation.

YOUR SITUATION → YOUR STARTING FRAMEWORK

YOUR SITUATION	START WITH THIS	WHY & WHAT TO DO FIRST
You supply to a large Indian listed company (e.g., Reliance, ITC, TATA, L&T, Maruti)	**BRSR Core**	Your customer is legally required to collect BRSR Core data from you. They will send you a questionnaire. Start by maintaining monthly records of energy, water, waste, and worker numbers.
You export — or want to export — to the EU, UK, or Germany	**GRI + ISO 14001**	EU buyers use GRI-aligned questionnaires. ISO 14001 shows you have a functioning environmental management system. Together, these are the most common EU supplier requirements. Start with an energy and water audit of your facility.
You export to the USA or your buyer is a US-listed corporation	**SASB (your sector) + basic GRI**	US investors and buyers use SASB metrics. Each sector has specific SASB standards — download your sector's standard for free at sasb.org Focus on the 5–10 metrics most relevant to your industry.
You are seeking green loans, ESG-linked financing, or investment	**TCFD + GRI**	Banks and impact investors use TCFD to assess climate risk and GRI for overall ESG performance. Start by answering: what climate risks (floods, water scarcity, heat) could disrupt your business? Document this assessment.
You supply or want to Japanese or Korean buyers, or to auto/electronics OEMs	**ISO 14001 + ISO 45001**	Japanese and Korean buyers almost universally require ISO 14001 (environment) and ISO 45001 (worker safety). These are certifiable — you get an audited certificate. Budget 12–18 months and ₹1–2L for MSME certification.
You are a first-time MSME with no ESG framework in place	**BRSR Core — start here**	BRSR Core is India's own standard, in English and Hindi, designed for the Indian business context. Begin with the 9 principles table on the previous page. Implement P3 (worker welfare), P6 (environment), and P1 (ethics) first — these three cover 80% of what any buyer will ask.

The Golden Rule: Start with **measurement.** Every framework — GRI, BRSR, ISO, TCFD — requires data. A factory that tracks its energy, water, waste, and worker metrics monthly already has the foundation for any framework. **You cannot report what you have not measured.**

"ESG is for Big Companies."

Five myths about ESG that are costing Indian MSMEs export orders right now.

The most dangerous belief an Indian MSME can hold today is that ESG is someone else's problem. It is not. The global buyers placing orders with your competitors, the banks offering cheaper loans, the government tenders with sustainability clauses — all of them are already inside your business. They just have not knocked loud enough yet. Here are the five beliefs that are holding MSMEs back — and why each one is wrong.

THE 5 ESG MYTHS — AND THE REALITY

THE MYTH	THE REALITY
"ESG is only for listed companies or large corporates."	BRSR Core requires large listed companies to collect ESG data from their MSME suppliers. Your buyer — not SEBI — is who will ask you first. When a Tier-1 vendor to Tata Motors or ITC asks for your sustainability data, you have no choice but to respond.
"We can't afford ESG — it's expensive to implement."	The most common ESG actions — installing an energy meter, maintaining a wage register, getting a NABL lab test, writing a POSH policy — cost under ₹50,000 total. The expensive part is delay: a failed audit can cost you a multi-crore order in hours.
"Our buyers haven't asked us for ESG information yet."	EU's CSDD Directive, US UFLPA, and UK Modern Slavery Act all have supply chain cascade effects that are just reaching Indian MSMEs now. The buyer hasn't asked yet because the regulation just kicked in. They will — and the MSMEs that are compliant will get the order.
"ESG is about environmental issues — we're a small factory, not a polluter."	ESG is equally about your workers (Social) and how you run your business (Governance). A wage register, a PF enrolment record, and a basic financial audit cover 60% of what most buyers check. Most MSMEs already do this — they just don't document it.
"We don't export directly — ESG doesn't apply to us."	If you supply to a domestic company that exports — or to a large Indian listed company — ESG requirements flow through the supply chain to you. India's own BRSR Core mandate specifically covers value chain partners, including indirect suppliers.

The Bottom Line: ESG is not coming to Indian MSMEs someday. It has arrived. The question is not whether to engage — it is whether you engage **on your terms, at your pace**, or **under pressure, at your buyer's deadline.**

ESG and Export Competitiveness — The Direct Link

ESG compliance is no longer a differentiator — it is the entry condition. Here is what the data shows.

Global buyers are not just preferring ESG-compliant suppliers — they are actively dropping those who are not. For Indian MSMEs, the export opportunity is real and growing. But so is the bar to access it. **ESG compliance is now the price of admission.**

WHAT THE DATA SHOWS — ESG AND EXPORT MARKET ACCESS

73% of EU buyers

now include ESG compliance as a formal condition in supplier contracts — up from 32% in 2019. Non-compliant Indian suppliers are being replaced by Vietnamese, Bangladeshi, and Turkish alternatives.

Source: EcoVadis Sustainable Procurement Barometer 2023

12–18% price premium

earned by ESG-certified Indian exporters over non-certified competitors in the same category — documented across garments, agri, and leather sectors.

Source: CII–ITC ESG Supplier Survey 2023

3× more likely

ESG-documented MSMEs are 3× more likely to be shortlisted for large buyer vendor programmes than undocumented peers — even when price is identical.

Source: SIDBI MSME ESG Readiness Report 2023

⚠ ₹4,200 Cr+ in Indian exports

rejected or held at EU and US customs in FY23-24 due to ESG non-compliance — chemical violations, forced labour flags, and missing traceability documentation.

Source: DGFT / APEDA Export Rejection Data 2023-24

The opportunity is real. The bar is rising. The MSMEs that document, comply, and certify now will be the ones winning orders in 2026 and beyond. The question is not whether to start — it is how. The progression below shows exactly that.

THE MSME ESG PROGRESSION — FROM BASELINE TO MARKET LEADER

STEP	WHAT YOU DO	WHAT IT UNLOCKS	PRACTICAL FIRST ACTION
1 Document	**Record what you already do — energy use, worker headcount, wages, waste generated, compliance licences**	Ability to respond to buyer ESG questionnaires without scrambling. Baseline data for any certification.	Set up a simple monthly log: kWh used, litres of water consumed, units produced, workers employed. Excel is fine.

| STEP | WHAT YOU DO | WHAT IT UNLOCKS | PRACTICAL FIRST ACTION |

2 Comply	**Ensure all statutory requirements are met — PF, ESIC, GST, POSH, pollution NOC, factory licence**	Passes the 'governance' and 'social' baseline that every buyer audits. Removes risk of blacklisting.	Run a compliance checklist with your CA. Enrol all workers on ESIC and PF portal. Display POSH policy on the shop floor.
3 Certify	**Get the certification your buyer market requires — Higg, LWG, GlobalG.A.P., ISO 14001, OEKO-TEX, BRC**	Access to premium buyers who require certified suppliers. Removes the 'audit risk' flag from procurement decisions.	Identify your top 2 buyers' specific certification requirements. Pick one. Register for the assessment — most take 6–18 months.
4 Report	**Publish an annual ESG disclosure — even a simple 2-page summary covering E, S, and G metrics — aligned with BRSR Core**	ESG-linked financing at lower interest rates. Eligibility for SEBI-listed company supply chains. Investor confidence.	Use BRSR Core's 9 indicators as your disclosure template. Share with your key buyer and your bank annually.
5 Lead	**Set measurable ESG targets — reduce energy per unit by 15%, achieve zero liquid discharge, reach 100% formal employment**	Premium pricing (5–15% above market), preferred vendor status, FDI eligibility, ESG award recognition.	Set one E, one S, and one G target for the next financial year. Report progress quarterly. Make it part of your annual review.

Common MSME Challenges in ESG Adoption

No false promises — here is what is genuinely hard about ESG for MSMEs, and what actually helps.

FOUR STRUCTURAL CHALLENGES — AND HONEST ANSWERS

Challenge 1: Documentation Gap

Most MSMEs run well but document poorly. Energy bills are paid but not tracked. Workers are paid fairly but registers are incomplete. This creates an audit gap — not because the business is bad, but because the paper trail does not exist.

Honest Answer: A basic monthly log takes 30 minutes. Documentation is the most important habit an MSME can build — it costs nothing and unlocks everything.

Challenge 2: Cost of Certification

ISO 14001 can cost ₹1–2L for small units. Higg FEM assessments have fees. Lab testing adds up. For a thin-margin MSME, these feel disproportionate to the benefit.

Honest Answer: Government schemes (ZED, MSME cluster schemes, SIDBI green finance) subsidise up to 80% of certification costs. Section 5 maps every available scheme.

Challenge 3: Awareness and Capacity

The MSME owner knows their machine, their buyer, and their margin — but ESG frameworks are written in technical language by consultants for consultants. This creates a genuine knowledge barrier.

Honest Answer: This booklet is that bridge. The toolkit in Section 6 gives you a sector-specific checklist you can hand to your floor supervisor tomorrow. No consultant needed to start.

Challenge 4: Buyer Power Imbalance

Large buyers impose ESG requirements on MSMEs without offering price support or transition time. The cost falls entirely on the smaller supplier while the benefit accrues to the brand. This is real and unfair.

Honest Answer: ESG-compliant MSMEs have negotiating leverage — they are harder to replace. Certification is your best protection against being substituted by a lower-cost competitor.

The Honest Truth: None of these challenges are insurmountable for an MSME that starts small and builds systematically. The biggest risk is not starting — because your competitors already have.

YOUR CARBON FOOTPRINT IN 3 STEPS

You already have everything you need. Your electricity bill and waste records are your carbon calculator.

A common concern: "I don't have the awareness, expertise, or skills to measure something as complex as carbon emissions." Here is a simple demonstration using records every MSME already maintains.

⚡ **STEP 01** *Read your electricity bill*	Look at your monthly electricity bill. Find: Total units consumed (kWh) Example — A mid-size garment unit in Kanpur: Monthly bill → 12,000 kWh consumed	Record: Monthly electricity consumption (kWh) Source: Your electricity bill. Already in your hands. Annually: 12,000 × 12 = 1,44,000 kWh/year That is your energy baseline.

? **STEP 02** *Apply India's emission factor*	Multiply kWh consumed by India's grid emission factor. India's CEA emission factor (2023-24): 0.716 kg CO_2 e per kWh (Published by Central Electricity Authority, GoI)	Calculation: 1,44,000 kWh × 0.716 = 1,03,104 kg CO_2 e/year = approximately 103 tonnes CO_2 e/year That is your Scope 2 carbon footprint. Done.
? **STEP 03** *Add fuel & waste (optional but powerful)*	Diesel consumed (litres/month) × 2.68 = kg CO_2 e LPG consumed (kg/month) × 2.98 = kg CO_2 e Petrol consumed (litres/month) × 2.31 = kg CO_2 e Emission factors: Ministry of Environment, GoI / IPCC	Example: If the same unit uses 200 litres diesel/month: 200 × 12 × 2.68 = 6,432 kg CO_2 e/year Total footprint (electricity + diesel): 103 + 6.4 = ~109 tonnes CO_2 e/year This is a number your buyer can work with.

The point: Carbon accounting sounds complex. In practice, for most MSMEs it begins with three numbers already on your bills --- electricity consumed, fuel used, and waste disposed. The calculation above takes under 30 minutes and produces a figure your buyer, your bank, and BRSR Core all recognise. You do not need to be an engineer to start.

Access to Sustainable Finance Through ESG Compliance

How ESG-ready MSMEs access capital their competitors simply cannot get.

Here is something most MSME owners don't know: banks and financial institutions are under their own ESG pressure from regulators and investors. The RBI has issued guidelines on climate risk. The IFC, ADB, and SIDBI have mandated ESG screening for their lending portfolios. This means they are actively looking to lend to ESG-compliant MSMEs — often at **1–3% below standard lending rates,** with longer repayment tenures and lower collateral requirements. The money exists. Most MSMEs never apply because they don't know the door is open.

SUSTAINABLE FINANCE OPTIONS FOR INDIAN MSMEs — RIGHT NOW

SCHEME / LENDER	WHAT IT IS	INTEREST BENEFIT	WHO QUALIFIES	HOW TO APPLY
SIDBI Green Finance	SIDBI's Sustainable Finance scheme provides concessional loans specifically for MSMEs investing in energy efficiency, renewable energy, or cleaner production processes.	**0.5–2% below SIDBI's standard MSME rate**	Any registered MSME with a documented plan to reduce energy consumption or install clean tech	Apply via SIDBI's online portal or nearest SIDBI branch. Requires energy audit report and 2-year financial statements.
MSME Sustainable Finance (IFC–SIDBI)	A World Bank–IFC backed facility channelled through SIDBI and partner banks, targeting climate-smart investments in MSME supply chains — specifically garments, agri-processing, and light manufacturing.	**Concessional rate; reduced collateral for ESG-certified units**	MSMEs in garments, food processing, electronics, and steel; preference for ISO 14001 or sector cert holders	Apply through SIDBI partner banks (SBI, HDFC, Axis). Requires basic ESG self-assessment completed.
RBI Priority Sector — Green MSME	RBI has classified green MSME lending as priority sector. Banks must allocate a portion of lending to this category, creating competition among banks for ESG-qualified MSME borrowers — giving you negotiating power.	**Banks compete to lend; negotiable rates and tenure**	Any MSME with a documented ESG practice — even a basic BRSR Core compliance record qualifies	Approach your existing bank with your ESG documentation. Ask specifically for 'Priority Sector Green MSME' classification.

SCHEME / LENDER	WHAT IT IS	INTEREST BENEFIT	WHO QUALIFIES	HOW TO APPLY
ZED (Zero Defect Zero Effect) Certification + Loan Link	The Government of India's ZED scheme certifies MSMEs on quality (zero defect) and sustainability (zero effect on environment). ZED-certified MSMEs get a credit rating uplift that directly reduces borrowing costs.	**Credit rating uplift → 0.5–1% rate reduction; 80% subsidy on ZED certification cost**	All registered MSMEs; free registration on ZED portal; certification cost subsidised by govt	Register at zed.org.in Assessment is conducted by empanelled assessors. Subsidised cost: ₹10,000–50,000 depending on MSME size.
NABARD Green Agri Finance	NABARD's RIDF and sustainable agriculture windows offer low-cost capital to agri-processors and food MSMEs that demonstrate sustainable sourcing, traceability, and farmer welfare practices.	**4–6% effective rate; long tenure (up to 10 years) for farm-linked investments**	Agri-processors, food MSMEs, cold chain operators; stronger eligibility with GlobalG.A.P. or FSSAI certification	Apply through your district cooperative bank or NABARD's state regional office. Submit farm sourcing records and FSSAI licence.

WHEN MSMES USED ESG TO ACCESS BETTER FINANCE — SECTOR SPOTLIGHTS

SECTOR SPOTLIGHT · AGRI PROCESSING — PUNJAB

A rice miller in Amritsar obtained GlobalG.A.P. certification and registered on APEDA TraceNet. When they approached SIDBI for a cold storage expansion loan, the ESG documentation reduced their credit risk score — and they received a ₹2.2 crore loan at 1.8% below the standard rate.

The certification cost ₹1.4L. The interest saving over 5 years: ₹3.2L. Net gain before order growth: ₹1.8L.

SECTOR SPOTLIGHT · STEEL FABRICATION — RAIPUR

A structural steel MSME in the Raipur cluster registered on the ZED portal, conducted an energy audit (cost: ₹18,000 via govt-subsidised assessor), and achieved ZED Bronze. Their credit rating improved, and they accessed a ₹75L working capital facility from SBI at 0.75% below market rate.

First step taken: tracking furnace electricity consumption per tonne. Time to ZED Bronze: 4 months.

The Finance Insight: Every rupee you invest in ESG documentation and certification has a direct financial return — through lower borrowing costs, better credit ratings, and access to concessional capital that your non-ESG competitors simply cannot access. **ESG is not a cost centre. It is a credit card with a rewards programme.**

For full scheme details, subsidy amounts, and application steps — see **Section 5: Government Mandates, Schemes & Incentives.** Every scheme listed here — ZED, SIDBI, NABARD, TUFS, CDP — is mapped with eligibility criteria and how to apply.

The Key Insight: Four of the six regulations above are already in force. Most MSMEs are partially compliant without realising it — they just lack the **documentation** to prove it. A compliance audit + paper trail is 80% of what any buyer or bank will ask for.

The Rules Are Already Here.

Most MSMEs don't know which government ESG mandates already apply to them — and which are coming

ESG is not a future obligation. A significant body of Indian law — on environment, labour, quality, and financial disclosure — already requires ESG-relevant action from MSMEs. The gap is not regulation; it is **awareness and documentation.** Below is a regulatory map — what applies now, what is phasing in, and what is coming.

INDIA'S ESG REGULATORY MAP — WHAT APPLIES TO YOUR MSME

LAW / BODY	WHAT IT IS	WHAT IT REQUIRES FROM AN MSME	STATUS	PILLAR
SEBI BRSR Core	*Supply chain ESG disclosure requirement*	If you supply to any of India's top 1,000 listed companies, they must collect 9 key ESG indicators from you annually — energy use, water, GHG, worker welfare, wages, and governance basics.	✓ IN FORCE — FY25-26 onwards	E + S + G
Factories Act + Labour Codes	*Worker safety, wages, and welfare*	All factories with 20+ workers must maintain wage registers, provide PF and ESIC cover, display safety notices, conduct annual safety audits, and have a written POSH policy. These are the 'S' of ESG — already law.	✓ IN FORCE	Social (S)
MoEFCC / CPCB Pollution Norms	*Environment clearance and compliance*	Manufacturing MSMEs in red/orange category industries (dyeing, tanning, metal processing, food processing with effluents) must hold a valid Consent to Operate (CTO) from the State Pollution Control Board, maintain effluent logs, and comply with discharge limits.	✓ IN FORCE	Environmental (E)
RBI Climate Risk Guidelines	*Climate risk disclosure for bank borrowers*	RBI has instructed banks to assess climate risk in their lending portfolios. From FY2024-25, MSMEs seeking loans above ₹10 crore may be asked about climate-related risks to their business — floods, heat, water scarcity, carbon costs.	⚠ PHASING IN — large borrowers first	Environmental (E)
BIS Quality Standards	*Product quality certification*	BIS ISI marking is mandatory for 370+ product categories. For exporters, BIS certification demonstrates product safety and process control — the 'G' of ESG (quality systems and accountability). Some buyer markets require BIS as a baseline.	✓ IN FORCE — category-specific	Governance (G)
EU CBAM (Carbon Border Tax)	*Carbon tariff on exports to Europe*	Indian exporters of steel, aluminium, cement, fertiliser, and electricity to the EU must report the carbon intensity of their production process. From 2026, a tax proportional to embedded carbon will apply at the EU border.	● MANDATORY FROM 2026	Environmental (E)

The Government **Pays You to Go Green.**

Central government schemes that subsidise ESG adoption — most MSMEs never claim them

There are dozens of central government schemes designed to help MSMEs upgrade technology, reduce energy use, get certified, and access green finance. The tragedy is that uptake is extremely low — **not because the money is not there, but because most MSME owners do not know it exists.** Below are the relevant schemes for ESG adoption.

CENTRAL SCHEMES FOR ESG — WHAT'S AVAILABLE RIGHT NOW

SCHEME	WHAT IT GIVES YOU	BENEFIT / SUBSIDY	SECTORS	HOW TO APPLY
ZED Certification (Zero Defect Zero Effect)	A government certification that assesses both product quality (zero defect) and environmental impact (zero effect). ZED-certified MSMEs get a credit rating uplift, export priority, and buyer credibility.	**Up to 80% subsidy on certification cost (₹10,000–50,000 net); credit rating improvement**	All manufacturing MSMEs	Register free at zed.org.in · Assessment by empanelled auditor · 3 levels: Bronze, Silver, Gold
SIDBI MSME Sustainable Finance	Concessional loans for MSMEs investing in energy efficiency upgrades, renewable energy (solar panels, efficient motors), or cleaner production processes that reduce pollution.	**0.5–2% below standard MSME lending rate; longer repayment tenure**	All MSMEs; priority to garments, agri-processing, metal, electronics	Apply at sidbi.in or nearest SIDBI branch · Submit energy audit report + 2-year financials
TUFS — Technology Upgradation Fund (Textiles)	Capital subsidy and interest reimbursement for textile and garment MSMEs that upgrade to cleaner machinery — energy-efficient looms, waterless dyeing, ETP (effluent treatment plants).	**15% capital subsidy on eligible machinery; 5% interest reimbursement**	Garments, Handloom, Textiles only	Apply through nodal bank (SBI/Canara/HDFC) · Ministry of Textiles portal: texmin.nic.in
BEE PAT Scheme (Perform, Achieve, Trade)	Bureau of Energy Efficiency's scheme that sets energy intensity targets for factories. MSMEs that beat their target earn tradeable Energy Saving Certificates (ESCerts) — which can be sold to energy-intensive industries that missed their targets.	**ESCerts tradeable at ₹1,000–4,000 per unit; direct revenue from energy reduction**	Energy-intensive: steel, aluminium, food processing, textiles	Designated Consumers (DCs) enrolled by BEE · Apply via beeindia.gov.in · Requires metered energy data
MSME Cluster Development Programme (CDP)	Government funds Common Facility Centres (CFCs) for MSME clusters — shared effluent treatment plants, shared testing labs, shared solar installations. Individual MSMEs access these at a fraction of the standalone cost.	**Govt funds 70–90% of CFC infrastructure cost; MSMEs pay only usage fee**	Leather (Kanpur/Agra), Garments (Tirupur/Surat), Steel (Raipur/Mandi Gobindgarh)	Apply via your district's Industry Association or DC MSME office · msme.gov.in

SCHEME	WHAT IT GIVES YOU	BENEFIT / SUBSIDY	SECTORS	HOW TO APPLY
NABARD Agri Green Finance	NABARD's RIDF and climate-smart agriculture windows offer low-cost capital to agri-processors demonstrating sustainable sourcing, traceability, and farmer welfare. Linked to APEDA certification support.	**4–6% effective rate; up to 10-year tenure for farm-linked infrastructure**	Agri & Food Processing, Cold Chain, Agri-exports	Apply via district cooperative bank or NABARD state regional office · nabard.org

The Action: Start with ZED registration (free) and SIDBI Sustainable Finance. These two schemes together can fund the majority of your ESG transition — and both remain undersubscribed. **The window is open. Walk through it.**

For detailed information on all schemes — eligibility, scale, beneficiaries, and application steps — see **Annexure III: Government Schemes for MSME ESG Adoption.**

Your ESG Action Kit

The Most Important Thing to Understand About ESG Certifications:

A certificate does not make you ESG-compliant. A certificate is **proof** that you already are.

The businesses that fail ESG audits are not the ones who never heard of GRI or ISO 14001 — they are the ones who tried to get the certificate before building the practice. That said, even if you are not applying for Certification, following an ESG checklist will help you demonstrate compliance with ESG parameters and pass the customer audit.

THE RIGHT SEQUENCE — FROM PRACTICE TO PROOF

01 PRACTISE
Do what ESG requires — track energy, pay workers fairly, keep clean accounts. Before any framework, before any consultant.

02 DOCUMENT
Write down what you already do. Monthly logs. Worker records. Compliance files. Turn practice into paper trail.

03 CERTIFY
Now get the certificate. Invite the auditor. You pass because you already live it — not because you prepared for the audit.

04 REPORT
Share your story with buyers, banks, and investors. Your ESG report is your business credential — visible proof of who you are.

WHAT THIS CHAPTER CONTAINS

- **ESG Readiness Self-Assessment** 24 yes/no questions. Complete in 10 minutes on your factory floor. Instantly know where you stand.
- **Export Market Readiness Checklist** EU. USA. UAE. Japan. India large buyers. Exactly what each market requires — document by document.

ESG Readiness Self-Assessment Checklist

A structured checklist covering Environmental, Social, and Governance readiness — tick what you have, prioritise what you don't.

Use this checklist to audit your current ESG documentation posture. Each item is a policy, data record, permit, or process that buyers, banks, and regulators will ask for during an ESG audit. **Tick what you have in place. Every unticked item is your next priority.**

E — ENVIRONMENT

☐ **E1** **Environmental Policy**
Covers Scope 1, 2 & 3 emissions, water use, waste generation, biodiversity impact, and any other relevant natural resource usage. Policy must state scope, last review date, and named owner.

☐ **E2** **Energy & Emissions Data**
Tracks baseline energy consumption and GHG emissions. Includes year-on-year figures and documented reduction targets with timelines.

☐ **E3** **Pollution Data Records**
All air, water, and soil pollution data documented, monitored, and available for audit. Includes discharge logs and pollutant levels against permissible limits.

☐ **E4** **Water Management Records**
Covers water withdrawal from all sources, discharge by destination and treatment level, and net consumption. Calibrated meter readings preferred.

☐ **E5** **Waste Management System**
Documents all waste categories — solid, liquid, hazardous, and non-hazardous. Covers disposal methods, licensed vendor details, and recycling or recovery rates.

☐ **E6** **Valid Permits & Licences**
All environmental permits in force and current — Consent to Operate (CTO), factory licence, pollution NOC, and any sector-specific clearances. Expired permits treated as non-compliance.

☐ **E7** **Renewable Energy Usage**
Tracks percentage of total energy from renewable sources. Includes on-site solar, wind, or green-tagged grid power. Documented monthly.

☐ **E8** **Product Safety at End-of-Life**
Documents safety considerations for the product at end consumer usage level — packaging, chemical content, and disposal instructions where applicable.

☐ **E9** **3R Practices & Product End-of-Life Management**
Covers Reduce, Reuse, and Recycle initiatives within operations. Documents scrap recovery rates, packaging reuse, and product take-back arrangements if any.

☐ **E10** **Third-Party Environmental Audit or Assurance**
At least one external environmental audit or assurance exercise conducted. Details of the auditor, scope, and findings documented and available.

E11 ☐ **Emergency Response Plans**

Written plans in place for fire, explosion, chemical spill, earthquake, flood, and other foreseeable emergencies. Plans are communicated to all workers, displayed on the shop floor, and rehearsed at least annually.

E12 ☐ **Approved Chemicals List**

Maintains a current list of all chemicals and raw materials used in production. Confirms no use of banned or unauthorised substances. Material Safety Data Sheets (MSDS) available for every chemical on site.

S — SOCIAL

S1 ☐ **Non-Discriminatory Hiring Policy**

Written policy confirming no discrimination on grounds of gender, caste, religion, disability, or age. Explicitly prohibits child labour, forced labour, and trafficking. Applied at every stage of hiring.

S2 ☐ **Health & Safety Policy**

Policy is relevant to the specific type of business and its hazards. Displayed in the workplace. Covers PPE requirements, safe working procedures, and accident reporting protocol.

S3 ☐ **Accident & Incident Data**

Records all accidents, near-misses, and safety incidents with trend analysis. Includes Lost Time Injury Frequency Rate (LTIFR) and number of fatalities, if any.

S4 ☐ **Training Programme Records**

Maintains records of all training conducted — safety, skill, ESG, or compliance. Includes dates, topics covered, trainer details, and attendee sign-in sheets.

S5 ☐ **Whistleblower Policy**

Enables employees to report concerns — including misconduct, safety issues, or fraud — confidentially and without fear of retaliation. Includes the option to report anonymously.

S6 ☐ **Salary Transparency & Market-Linked Wages**

Wage structure is documented and available to workers. Salaries benchmarked against market rates or legal minimums. No unexplained gender or category pay gaps.

S7 ☐ **Employee Well-Being Initiatives**

Documents health insurance coverage, maternity and paternity benefits, mental health support, day-care facilities, and any other well-being provisions offered to workers.

S8 ☐ **Incident Investigation Reports**

Every significant safety incident is investigated with a formal root-cause analysis. Corrective actions documented and closed out within defined timelines.

S9 ☐ **Supplier Code of Conduct**

A written code issued to all key suppliers stating minimum expectations on labour practices, environmental compliance, and ethical conduct. Signed and on file for each supplier.

S10 ☐ **Sustainable Procurement Policy**

Purchasing decisions consider ESG criteria — environmental impact of inputs, supplier labour standards, and local sourcing preference where feasible.

S11 ☐ **Community Support Programme**

Documents any community welfare, CSR, or social investment activities — including beneficiaries, amounts spent, and outcomes. Aligned with local community needs.

G — GOVERNANCE

G1 ☐ **Anti-Corruption Policy**

		Written policy prohibiting bribery, facilitation payments, kickbacks, and corruption in any form. Communicated to all employees and key vendors. Reviewed annually.
☐	G2	**Code of Conduct** *A comprehensive code covering ethical behaviour, conflicts of interest, confidentiality, and professional standards. Signed by all employees on joining and reviewed periodically.*
☐	G3	**Whistleblower Policy (Governance)** *Separate from the Social whistleblower policy — this covers governance violations including financial misconduct, conflicts of interest, and regulatory breaches.*
☐	G4	**Data Protection Policy** *Covers collection, storage, use, and protection of customer and employee data. Compliant with applicable Indian data protection regulations.*
☐	G5	**Gifts & Hospitality Policy** *Written policy with defined limits on gifts and entertainment. Includes a declaration register where all gifts given or received above the threshold are logged.*
☐	G6	**Regulatory Disclosures** *All mandatory disclosures filed with relevant regulators — SEBI, MCA, labour authorities, pollution control boards, and tax authorities — are current and documented.*
☐	G7	**Tax Filings** *All GST returns, income tax filings, TDS, and advance tax payments are current. No outstanding dues for more than 2 quarters. Audited financial statements available for last 2 years.*

FIVE RULES FOR EVERY ITEM ON THIS CHECKLIST

01	Every policy must contain a detailed scope, a last review date, and a named policy owner. Policies should be specific to your business — not generic statements downloaded from the internet. Every policy must result in measurable actions that can be verified during an audit.
✓ 02	All ESG and sustainability activities must have well-defined KPIs with a documented baseline. You cannot demonstrate improvement without a starting point. Establish baselines before setting targets.
✓ 03	Energy and emission calculations must be performed using calibrated meters, accredited laboratory data, or recognised emission factors such as those published by the IPCC or Bureau of Energy Efficiency.
✓ 04	All permits and licences must be in force and valid. An expired permit is treated as non-compliance by auditors, buyers, and banks — even if renewal is in progress. Maintain a renewal calendar.
✓ 05	Documentation must be created and maintained for every parameter in this checklist — in both digital and physical formats. A practice that is not documented does not exist for the purposes of any audit, certification, or ESG disclosure.

A business that passes this checklist is ESG-ready. Not ESG-perfect — ESG-ready. That is all any buyer, bank, or regulator is asking for at the starting line.

Self-Assessment Checklist & Scorecard

India ESG Alliance · AFC India

Company Name: ______________________________

Assessment date: ____________ Completed by: ____________

Part 1

Checklist

Tick every item you have in place — documented, current, and available for audit.

E — Environment

HYGIENE FACTORS · THESE ARE THE MINIMUM BASELINE. WITHOUT THESE YOU ARE AT RISK.

- ☐ **E3 Air, water & land contamination records**
  Discharge logs, stack emission tests, and effluent records — all compared against permissible limits. Monitoring must be documented and available.

- ☐ **E4 Water management records**
  Tracks withdrawal from all sources, discharge by destination and treatment level, and net consumption. Calibrated meter readings preferred.

- ☐ **E6 Valid permits & licences**
  All environmental permits are effective and current — Consent to Operate (CTO), Factory Licence, Pollution NOC, and any sector-specific clearances. Expired permits equal non-compliance.

- ☐ **E7 Renewable energy usage tracked**
  Documents the percentage of total energy sourced from renewables — on-site solar, wind, or green-tagged grid power — recorded monthly.

- ☐ **E10 Third-party environmental audit or assurance**
  At least one external environmental audit conducted. Auditor details, scope, and findings documented and available on file.

SERIOUS ADOPTION FACTORS · THESE LINK DIRECTLY TO MARGIN IMPROVEMENT AND PREMIUM BRANDING.

☐ **E1 Scope 1, 2 & 3 GHG emissions determined**
Scope 1 = direct emissions from your facility. Scope 2 = purchased electricity. Scope 3 = supply chain and product end-of-life. All three documented.

☐ **E2 Energy efficiency & GHG reduction targets**
Baseline energy consumption and GHG emissions tracked year-on-year. Documented reduction targets with timelines in place.

☐ **E5 Hazardous material records, safety procedures & permits**
MSDS sheets on-site for every chemical. Documented disposal procedures with licensed vendors. All relevant permits in place.

☐ **E8 Extended producer responsibility — product end-of-life**
Documents product safety at end-consumer level — packaging content, chemical disclosures, take-back arrangements, and disposal instructions.

☐ **E9 3R programme — reduce, reuse, recycle**
Covers reduce, reuse, and recycle initiatives within operations. Scrap recovery rates, packaging reuse ratios, and product take-back documented.

LEADERSHIP FACTORS · THESE DEMONSTRATE SUSTAINABLE, DIFFERENTIATED OPERATIONS.

☐ **E11 Disaster management plan**
Written plans for fire, explosion, chemical spill, earthquake, and flood. Plans are communicated to all workers, displayed at the workplace, and drilled annually.

☐ **E12 Approved chemicals list — no banned substances**
Current inventory of all chemicals and raw materials in use. Confirms no restricted or unauthorised substances. MSDS available on-site for every item.

S — Social

HYGIENE FACTORS · BASELINE LABOUR AND COMMUNITY REQUIREMENTS.

☐ **S1 Non-discriminatory recruitment policy**
Written policy prohibiting discrimination by gender, caste, religion, disability, or age. Explicitly bans child labour, forced labour, and trafficking. Applied at every stage of hiring.

☐ **S2 Health & Safety policy**
Policy is specific to your type of business and its hazards. Displayed in the workplace. Covers PPE requirements, safe work procedures, and accident reporting protocols.

☐ **S3 Accident & incident data**
Records all accidents, near-misses, and safety incidents with trend analysis. Includes Lost Time Injury Frequency Rate (LTIFR) and fatality count.

☐ **S4 Training programme records**
Maintains records of all training conducted — safety, skills, ESG, and compliance. Includes dates, topics, trainer details, and attendance sign-in sheets.

☐ **S11 Community support & CSR programme**
Documents any community welfare, CSR, or social investment activities — including beneficiaries, amounts spent, and outcomes achieved. Aligned to local needs.

SERIOUS ADOPTION FACTORS · THESE DRIVE HIGH PRODUCTIVITY AND ENGAGEMENT.

☐ **S7 Employee well-being initiatives**
Documents health insurance coverage, maternity and paternity benefits, mental health support, day-care facilities, and any other welfare provisions offered to workers.

☐ **S8 Incident investigation reports with root-cause analysis**
Every significant safety incident formally investigated with root-cause analysis. Corrective actions documented and closed within defined timelines.

☐ **S9 Supplier code of conduct**
Written code issued to all key suppliers covering labour practices, environmental compliance, and ethical conduct. Signed by each supplier and held on file.

☐ **S10 Responsible procurement policy**
Purchasing decisions weigh ESG criteria — environmental impact of inputs, supplier labour standards, and local sourcing preference where feasible.

LEADERSHIP FACTORS · THESE BUILD HIGH TRUST AND MORALE ACROSS THE ORGANISATION.

☐ **S5 Whistleblower policy — social**
Enables employees to report concerns — misconduct, safety issues, or fraud — confidentially and without fear of retaliation. Includes option for anonymous reporting.

☐ **S6 Wage transparency & market-linked pay**
Wage structure documented and available to workers. Pay benchmarked against market rates or legal minimums. No unexplained gender or category pay gaps.

G — Governance

HYGIENE FACTORS · BASELINE GOVERNANCE AND LEGAL COMPLIANCE.

☐ **G1 Anti-bribery policy**
Written policy prohibiting bribes, facilitation payments, kickbacks, and all forms of corruption. Communicated to all employees and key vendors. Reviewed annually.

☐ **G5 Gift & hospitality policy with declaration register**
Written policy with defined limits on gifts and entertainment. A register logs all gifts given or received above the threshold value.

☐ **G6 Regulatory disclosures — current & filed**
All mandatory disclosures filed with SEBI, MCA, labour authorities, Pollution Control Board, and tax authorities are current and documented.

☐ **G7 Tax filings up to date**
GST returns, income tax, TDS, and advance tax payments are current. No arrears beyond two quarters. Audited financials for the past two years are available.

SERIOUS ADOPTION FACTORS · THESE DEMONSTRATE DEPENDABLE GOVERNANCE AND A GOOD BRAND.

☐ **G2 Code of conduct**
Comprehensive code covering ethical behaviour, conflicts of interest, confidentiality, and professional standards. Signed by all employees at joining and reviewed periodically.

☐ **G4 Data protection policy**
Covers collection, storage, use, and security of customer and employee data. Compliant with applicable Indian data protection rules (DPDP Act).

☐ **G3 Whistleblower policy — governance**
Separate from the social whistleblower channel. Covers financial misconduct, conflicts of interest, and regulatory violations.

Part 2

Scorecard

For each item, circle Yes / Partial / No and write your points in the last column. Yes = full points. Partial = half points. No = 0.

Ref	Item	Max pts	Your answer	Score
E — Environment (max 20 points)				
Hygiene factors				
E3	Air, water & land contamination records	1	Yes / Partial / No	
E4	Water management records	1	Yes / Partial / No	
E6	Valid permits & licences	1	Yes / Partial / No	
E7	Renewable energy usage tracked	1	Yes / Partial / No	
E10	Third-party environmental audit	1	Yes / Partial / No	
Serious adoption factors				
E1	Scope 1, 2 & 3 GHG emissions determined	2	Yes / Partial / No	
E2	Energy efficiency & GHG reduction targets	2	Yes / Partial / No	
E5	Hazardous material records, safety procedures & permits	2	Yes / Partial / No	
E8	Extended producer responsibility — product end-of-life	2	Yes / Partial / No	
E9	3R programme — reduce, reuse, recycle	2	Yes / Partial / No	
Leadership factors				
E11	Disaster management plan	2.5	Yes / Partial / No	
E12	Approved chemicals list — no banned substances	2.5	Yes / Partial / No	
			Environment subtotal (out of 20)	——
S — Social (max 20 points)				
Hygiene factors				
S1	Non-discriminatory recruitment policy	1	Yes / Partial / No	
S2	Health & Safety policy	2	Yes / Partial / No	
S3	Accident & incident data	1	Yes / Partial / No	

S4	Training programme records	1	Yes / Partial / No	
S11	Community support & CSR programme	1	Yes / Partial / No	
Serious adoption factors				
S7	Employee well-being initiatives	2	Yes / Partial / No	
S8	Incident investigation reports with root-cause analysis	2	Yes / Partial / No	
S9	Supplier code of conduct	2	Yes / Partial / No	
S10	Responsible procurement policy	2	Yes / Partial / No	
Leadership factors				
S5	Whistleblower policy — social	3	Yes / Partial / No	
S6	Wage transparency & market-linked pay	3	Yes / Partial / No	
			Social subtotal (out of 20)	——

G — Governance (max 10 points)

Hygiene factors				
G1	Anti-bribery policy	1	Yes / Partial / No	
G5	Gift & hospitality policy with declaration register	1	Yes / Partial / No	
G6	Regulatory disclosures — current & filed	1	Yes / Partial / No	
G7	Tax filings up to date	1	Yes / Partial / No	
Serious adoption factors				
G2	Code of conduct	2	Yes / Partial / No	
G4	Data protection policy	2	Yes / Partial / No	
G3	Whistleblower policy — governance	2	Yes / Partial / No	
			Governance subtotal (out of 10)	——

TOTAL ESG SCORE	**/ 50**

What your score means

Score	Band	What it means for your MSME
0 – 10	**Not ready**	High audit and supply-chain risk. Prioritise permits, basic policies, and compliance records before anything else.
11 – 20	**Early stage**	Awareness exists but documentation is thin. Start with hygiene factors — these are the minimum buyers and banks expect.
21 – 30	**Developing**	Partial systems in place. Close gaps in serious adoption factors to unlock margin and branding advantages.
31 – 40	**Advanced**	Credible for most buyers and lenders. Tackle leadership factors to differentiate your business further.
41 – 50	**ESG leader**	Ready for formal ESG disclosure, green financing, and premium buyer relationships.

What to do with your gaps

Every unticked item in Part 1 is a priority action. Work through them in tier order:

1. **Hygiene factors first.** Without these you are at risk of audit failure and disqualification from buyer or lender programmes.
2. **Serious adoption next.** These are where ESG starts translating into EBITDA improvement, cost savings, and premium positioning.
3. **Leadership factors last.** These signal a sustainable, long-term operation to large buyers, investors, and green finance institutions.

Export Market **Readiness Checklist**

Exactly what you need — by market — to clear customs, pass buyer audits, and win the order

Use this checklist before approaching any new export market or buyer. Each item is either a document you must hold, a certification you must carry, or a registration you must have active. **Tick every box before your first shipment to that market.**

UNIVERSAL — REQUIRED FOR ALL EXPORT MARKETS

U1	Valid IEC (Importer Exporter Code) from DGFT — mandatory for any export shipment	**IEC Certificate**	☐ DONE
U2	Udyam Registration Certificate — required for MSME export schemes and government support	**Udyam Certificate**	☐ DONE
U3	GST registration and LUT (Letter of Undertaking) filed for zero-rated exports	**GST LUT**	☐ DONE
U4	Bank account with export transaction facility (AD Category bank authorisation)	**Bank authorisation**	☐ DONE
U5	RCMC (Registration-cum-Membership Certificate) from your sector's Export Promotion Council (AEPC / APEDA / EEPC / CLE / ELCINA)	**RCMC**	☐ DONE

MARKET-SPECIFIC REQUIREMENTS — IN ADDITION TO UNIVERSAL ABOVE

MARKET	ADDITIONAL REQUIREMENT	DOCUMENT / CERT	STATUS
EU	Product must pass REACH chemical compliance — no banned substances (e.g., azo dyes, chromium VI in leather, hazardous flame retardants)	**REACH Test Report**	☐ Have it ☐ In progress ☐ Not started
EU	Supplier must have or be working toward a recognized ESG certification: Higg FEM (garments), LWG (leather), Global G.A.P. (Agri), ISO 14001 (manufacturing)	**Certification / In-Progress Letter**	☐ Have it ☐ In progress ☐ Not started
EU	EU CSDD supply chain due diligence statement — confirm no forced labour, no deforestation-linked inputs, no human rights violations in your supply chain (phasing in 2025–2027)	**Self-declaration / Signed statement**	☐ Have it ☐ In progress ☐ Not started
EU	CBAM (Carbon Border Tax) — for steel, aluminium, cement, fertiliser: submit Authorised CBAM Declarant registration and embedded carbon report from Jan 2026	**CBAM Declaration + Carbon Report**	☐ Have it ☐ In progress ☐ Not started
USA	UFLPA compliance: importers must certify goods are not produced with forced labour from designated regions. Maintain supply chain documentation tracing all inputs	**Supply Chain Traceability Record**	☐ Have it ☐ In progress ☐ Not started
USA	California Transparency in Supply Chains Act: if your US buyer is a retailer with $100M+ revenue, they must disclose your compliance on forced labour and human trafficking	**Signed Supplier Code of Conduct**	☐ Have it ☐ In progress ☐ Not started
USA	FDA registration for food/agri exports. All food/agri shipments to the US require Prior Notice of Import and FDA facility registration	**FDA Facility Registration No.**	☐ Have it ☐ In progress ☐ Not started
UAE	Halal certification from a UAE-recognised body (JAKIM, ESMA, or UAE-accredited certifier). Required for all food, meat, and personal care product exports	**Halal Certificate (UAE-recognised body)**	☐ Have it ☐ In progress ☐ Not started
UAE	UAE Farm to Fork traceability requirement (2024): food products must carry origin traceability documentation to the farm or processing level	**Farm/Processor Origin Record**	☐ Have it ☐ In progress ☐ Not started

MARKET	ADDITIONAL REQUIREMENT	DOCUMENT / CERT	STATUS
UAE	Emirates Authority for Standardization (ESMA) conformity mark for regulated product categories (electronics, toys, building materials)	**ESMA Conformity Certificate**	☐ Have it ☐ In progress ☐ Not started
Japan	ISO 14001 (Environmental Management) certification — required by most Japanese manufacturing buyers as a minimum supplier qualification	**ISO 14001 Certificate**	☐ Have it ☐ In progress ☐ Not started
Japan	ISO 45001 (Occupational Health & Safety) — required alongside ISO 14001 for auto, electronics, and industrial supply chains	**ISO 45001 Certificate**	☐ Have it ☐ In progress ☐ Not started
Japan	JIS (Japanese Industrial Standards) mark or equivalent BIS certification for manufactured goods. Some buyers accept CE mark as equivalent for electrical products	**JIS / BIS / CE Mark**	☐ Have it ☐ In progress ☐ Not started
India Large Buyer	BRSR Core data pack: energy intensity, water use, GHG scope 1 & 2, number of formal employees, PF/ESIC status, safety incidents, governance basics — aligned to SEBI's 9 KPIs	**BRSR Core Self-Report**	☐ Have it ☐ In progress ☐ Not started
India Large Buyer	Signed Supplier Code of Conduct — most large Indian listed companies now issue a mandatory CoC that suppliers must sign before onboarding	**Signed Supplier CoC**	☐ Have it ☐ In progress ☐ Not started
India Large Buyer	ZED Bronze or above certification — increasingly preferred by TATA, Mahindra, ITC, and Reliance for domestic MSME supplier qualification	**ZED Certificate**	☐ Have it ☐ In progress ☐ Not started

Key Resources, Portals & Contacts

Every portal, scheme, certification body, and contact mentioned in this booklet — in one reference page

GOVERNMENT PORTALS — INDIA

PORTAL / SCHEME	PURPOSE	URL	WHO SHOULD USE IT
Udyam Registration	MSME registration — mandatory for scheme access	udyamregistration.gov.in	All MSMEs — register first
ZED Portal	Zero Defect Zero Effect certification — up to 80% subsidy	zed.org.in	All manufacturing MSMEs
SIDBI Online	Sustainable finance and MSME loan applications	sidbi.in	MSMEs seeking green loans
APEDA TraceNet	Agri export traceability and certification	apeda.gov.in	Agri & food exporters
BEE MSME	Energy efficiency schemes, PAT, energy audits	beeindia.gov.in	Energy-intensive MSMEs (steel, textile, food)
DGFT (IEC / LUT)	Importer Exporter Code + export documentation	dgft.gov.in	All exporters
EPFO (PF)	Provident Fund registration and monthly filing	epfindia.gov.in	All employers with 20+ workers
ESIC	Employee health insurance registration and filing	esic.in	All employers with 10+ workers
SPCB (State PCB)	Consent to Operate (CTO) for environmental compliance	Via state govt. website	All manufacturing MSMEs
NABARD	Agri green finance, cold chain and rural MSME lending	nabard.org	Agri, food processing, rural MSMEs

CERTIFICATION BODIES — SECTOR-SPECIFIC

CERTIFICATION	SECTOR	WHAT IT PROVES	COST (MSME)	WHERE TO APPLY
Higg FEM	Garments / Textiles	Factory-level environmental performance (water, energy, chemicals, waste)	**₹50K–1.5L**	higg.org / via STAI (MSME subsidy available)
LWG Audit	Leather / Footwear	Leather tannery environmental performance — chemical use, water treatment, traceability of hides	**₹75K–2L**	leatherworkinggroup.com / FDDI (Noida/Agra) for MSME readiness support
GlobalG.A.P.	Agri & Food	Farm-level good agricultural practices — pesticide use, soil, water, worker safety	**₹30K–80K**	globalgap.org / APEDA empanelled certifiers
FSSC 22000 / BRC	Food Processing / Meat	Food safety management system — hygiene, contamination control, cold chain	**₹60K–1.5L**	fssc22000.com / SGS, Bureau Veritas, Intertek (India offices)
ISO 14001	All manufacturing	Environmental management system — pollution control, energy, waste	**₹50K–2L**	Bureau Veritas / SGS / DNV / TÜV India
ISO 45001	All manufacturing	Occupational health & safety management system	**₹40K–1.5L**	Bureau Veritas / SGS / DNV / TÜV India

CERTIFICATION	SECTOR	WHAT IT PROVES	COST (MSME)	WHERE TO APPLY
OEKO-TEX 100	Garments / Textiles	Product-level test — no harmful substances in finished textile	**₹25K–60K per product**	oeko-tex.com / BTTG, Hohenstein (India access)
ZED (Bronze–Gold)	All manufacturing	Quality + environmental impact combined rating — govt. supported	**₹10K–50K (80% subsidised)**	zed.org.in (register free; assessment by empanelled auditor)

Glossary

Plain-English definitions of every key term, acronym, and concept used in this booklet

HOW TO READ THIS GLOSSARY

E	S	G	F	R	I	C
Environmental	Social	Governance / General	Framework / Standard	Regulation / Scheme	Indian Heritage	Certification

TERM	TAG	PLAIN ENGLISH DEFINITION
A		
Aparigraha *Non-greed (Sanskrit)*	I	An ancient Indian principle meaning take only what you need and avoid excess accumulation. Maps directly to the modern ESG concept of circular economy and resource efficiency.
APEDA *Agricultural & Processed Food Products Export Development Authority*	R	Indian government body that supports and certifies agricultural exporters. Registration on APEDA's TraceNet portal is required for many agri export markets.
Arthashastra	I	Written by Kautilya c. 300 BCE — India's ancient treatise on statecraft, anti-corruption, transparent trade, and ethical governance. Considered India's original governance framework.
B		
BEE PAT *Bureau of Energy Efficiency — Perform, Achieve, Trade*	R	A government scheme that sets energy intensity targets for factories. Units that beat their targets earn tradeable Energy Saving Certificates (ESCerts) — generating direct revenue from energy reduction.
BIS *Bureau of Indian Standards*	R	India's national standards body. BIS ISI marking is mandatory for 370+ product categories. Demonstrates product safety and process control — a key governance baseline for exports.
BRC / FSSC 22000 *British Retail Consortium / Food Safety System Certification*	C	International food safety management standards. Required by most major global food retailers for their suppliers. Covers hygiene, contamination control, and cold chain management.
BRSR *Business Responsibility & Sustainability Report*	F	India's own mandatory ESG disclosure framework, introduced by SEBI in 2021. Mandatory for India's top 1,000 listed companies. Built around 9 Principles of responsible business conduct.
BRSR Core	F	A focused subset of BRSR indicators that large listed companies must now collect from their MSME suppliers and value chain partners. If you supply to a large Indian listed company, they will ask you for this data.
C		
Carbon Footprint	E	The total greenhouse gas emissions caused by a business, product, or activity — measured in CO_2 equivalent (CO_2e). Increasingly required by buyers and regulators as a disclosure metric.
Carbon Intensity	E	Greenhouse gas emissions per unit of output (e.g., tonnes of CO_2 per tonne of steel produced). The key metric for EU CBAM compliance for Indian steel and aluminium exporters.
CBAM *Carbon Border Adjustment Mechanism*	R	The EU's carbon border tax, mandatory from 2026. Indian exporters of steel, aluminium, cement, fertiliser, and electricity to the EU must report the carbon intensity of their production — and pay a tax proportional to embedded carbon at the EU border.

CDP *MSME Cluster Development Programme*	R	A Government of India scheme that funds Common Facility Centres (CFCs) for MSME clusters — shared effluent treatment plants, testing labs, and solar installations. Individual MSMEs access these at a fraction of standalone costs.
CPCB *Central Pollution Control Board*	R	India's apex environmental regulator. Sets national standards for air, water, and industrial discharge. State-level PCBs issue Consent to Operate (CTO) certificates to manufacturing units.
CSR *Corporate Social Responsibility*	G	Voluntary programmes where companies give back to society — funding schools, tree planting, or community welfare. Different from ESG: CSR is philanthropic and optional; ESG is a measurable business framework increasingly required by buyers, banks, and regulators.
CTO *Consent to Operate*	R	A licence issued by the State Pollution Control Board that permits a manufacturing unit to operate. Required for all units in red/orange pollution categories. A valid CTO is a foundational environmental compliance document.
D		
Dharma *Righteous conduct (Sanskrit)*	I	The principle of conducting trade with righteousness, honesty, and duty — a core value in Indian civilisational ethics. Maps to the modern Governance pillar of ESG: anti-corruption, ethical conduct, and fiduciary duty.
Due Diligence	G	A formal process by which buyers, investors, or banks investigate a supplier or investee's ESG practices. EU's CSDD Directive and Germany's LkSG now make supply chain due diligence a legal obligation for European buyers.
E		
EPFO / PF *Employees' Provident Fund Organisation*	R	India's statutory retirement savings scheme. All factories with 20+ workers must enrol employees. PF enrolment is a foundational Social (S) compliance requirement checked in every buyer and bank ESG audit.
ESCerts *Energy Saving Certificates*	E	Tradeable certificates issued under the BEE PAT scheme to factories that beat their energy intensity targets. Can be sold to energy-intensive industries, generating direct revenue from energy efficiency investments.
ESIC *Employees' State Insurance Corporation*	R	India's statutory health and social security scheme for workers earning below ₹21,000/month. Enrolment is mandatory for eligible factories. A key Social (S) compliance requirement for buyer audits.
ESG *Environmental, Social, and Governance*	G	A three-pillar framework used by global buyers, banks, and investors to measure whether a business is truly responsible. E = your impact on the planet; S = how you treat your people; G = how honestly you run your business. Think of it as a scorecard for your business reputation.
ETP *Effluent Treatment Plant*	E	A facility that treats wastewater from manufacturing before discharge. Required for units in industries generating liquid effluents (dyeing, tanning, food processing). A critical Environmental (E) compliance asset for EU and Japanese buyers.
F		
FDI *Foreign Direct Investment*	G	Investment from a foreign entity into a business in India. ESG-compliant MSMEs — particularly those with certifications and transparent governance — are increasingly eligible for FDI from impact investors and global supply chain equity programmes.
FSSAI *Food Safety and Standards Authority of India*	R	India's apex food safety regulator. FSSAI certification is mandatory for all food processing and agri businesses. A baseline requirement for agri and food exports, and a key input for BRSR Core compliance.
G		
GHG *Greenhouse Gas*	E	Gases (primarily CO_2, methane, and nitrous oxide) that trap heat in the atmosphere and drive climate change. Measured in CO_2 equivalent (CO_2e). Scope 1 = your direct emissions; Scope 2 = purchased electricity; Scope 3 = your supply chain.
Global G.A.P.	C	An international certification standard for Good Agricultural Practices. Covers farm-level pesticide use, soil, water, and worker safety. Required by most European food retailers for their agri suppliers. Available through APEDA-empanelled certifiers in India.

GRI *Global Reporting Initiative*	F	The world's most widely used ESG reporting standard. A template for writing your annual sustainability report — tells you exactly what to disclose about your environmental impact, worker conditions, and governance. Free to use. Used by European buyers and impact investors.

H

Higg FEM *Higg Facility Environmental Module*	C	A factory-level ESG assessment tool widely used in the global garment and textile industry. Measures water use, energy consumption, chemicals management, and waste. Required or preferred by many international fashion brands for their Indian suppliers.
Hundi	I	India's medieval merchant banking system — operated across continents on the basis of trust and reputation alone, without physical transfer of money. Considered the world's first trust-based financial instrument and a forerunner of modern governance-based commerce.

I

IEC *Importer Exporter Code*	R	A unique 10-digit code issued by DGFT (Directorate General of Foreign Trade). Mandatory for any business involved in export or import of goods. The first document required for export market entry.
IFC *International Finance Corporation*	F	The private sector arm of the World Bank Group. IFC partners with SIDBI to channel concessional green finance to Indian MSMEs in garments, agri-processing, and light manufacturing.
IKS *Indian Knowledge Systems*	I	The body of traditional Indian intellectual heritage — including agricultural wisdom, environmental stewardship, social governance, and trade ethics. Used in this booklet to show that ESG principles are deeply embedded in India's civilisational DNA.
ISO 14001	C	An internationally certifiable standard for Environmental Management Systems. Tells you how to build a system inside your factory — procedures, monitoring, improvement cycles — to control pollution, waste, and energy use. You get audited and receive a certificate. Required by EU, Japanese, and auto supply chain buyers.
ISO 45001	C	An internationally certifiable standard for Occupational Health & Safety Management. Required alongside ISO 14001 for auto, electronics, and industrial supply chains — particularly Japanese and Korean buyers.

L

LWG *Leather Working Group*	C	A global certification body for leather tanneries and footwear manufacturers. Assesses environmental performance — chemical use, water treatment, and traceability of hides. Required for EU leather and footwear exports. FDDI (Noida/Agra) provides MSME readiness support.

M

MoEFCC *Ministry of Environment, Forest and Climate Change*	R	India's apex environment ministry. Sets environmental regulations and works through CPCB and State PCBs to enforce pollution norms for manufacturing units.
MSME *Micro, Small and Medium Enterprise*	G	Classified by investment and turnover under the MSMED Act. Micro: investment up to ₹1 Cr, turnover up to ₹5 Cr. Small: investment up to ₹10 Cr, turnover up to ₹50 Cr. Medium: investment up to ₹50 Cr, turnover up to ₹250 Cr.
MSDS *Material Safety Data Sheet*	E	A document that describes the hazardous properties, safe handling, storage, and disposal of a chemical or substance. Required to be available for every chemical used in a manufacturing process — a key Environmental (E) compliance document for buyer audits.

N

NABL *National Accreditation Board for Testing and Calibration Laboratories*	R	India's government-accredited body for testing laboratories. An NABL-accredited lab test report is the gold standard for product safety testing — required for pesticide residue, chemical, chromium, and heavy metals compliance for exports.

NABARD *National Bank for Agriculture and Rural Development*	R	India's apex development finance institution for agriculture and rural sectors. Offers low-cost green finance to agri-processors and food MSMEs through its RIDF and climate-smart agriculture windows.
O		
ODOP *One District One Product*	R	A Government of Uttar Pradesh programme that identifies one flagship product per district across all 75 UP districts and provides targeted export support, branding, and certification assistance for MSMEs producing that product.
OEKO-TEX 100	C	A product-level certification that tests finished textiles and garments for harmful substances. Guarantees the final product contains no harmful chemicals — required or preferred by many European garment buyers.
P		
Pancha Bhoota *Five Elements (Sanskrit)*	I	The ancient Indian concept of respect for the five fundamental elements — earth, water, fire, air, and space. Maps to the modern Environmental stewardship pillar of ESG: carbon, water, land, air quality management.
POSH *Prevention of Sexual Harassment Act, 2013*	R	A mandatory Indian law requiring all workplaces with 10 or more employees to have a written sexual harassment policy and an Internal Complaints Committee. A foundational Social (S) compliance requirement checked in every buyer audit.
R		
RBI *Reserve Bank of India*	R	India's central bank. RBI has issued climate risk guidelines requiring banks to assess ESG exposure in their lending portfolios. From FY2024-25, MSMEs seeking large loans may be asked about climate-related risks to their business.
REACH *Registration, Evaluation, Authorisation and Restriction of Chemicals*	R	The EU's chemical safety regulation. Prohibits the use of banned substances in products sold in the EU (e.g., azo dyes in textiles, chromium VI in leather, hazardous flame retardants). Requires a REACH test report for EU customs clearance.
RCMC *Registration-cum-Membership Certificate*	R	A certificate issued by India's Export Promotion Councils (AEPC, APEDA, EEPC, CLE, ELCINA) that is required for MSME export schemes, government support, and duty drawback benefits.
S		
SASB *Sustainability Accounting Standards Board*	F	Industry-specific ESG metrics designed for investors. Unlike GRI (which covers everything), SASB provides exactly the ESG metrics that matter most in your specific industry. A garment company's SASB metrics look completely different from a steel company's. Free to access at sasb.org.
SEBI *Securities and Exchange Board of India*	R	India's stock market regulator. Introduced the BRSR framework in 2021, making ESG disclosure mandatory for India's top 1,000 listed companies — and cascading through BRSR Core to their MSME suppliers.
SIDBI *Small Industries Development Bank of India*	R	India's apex financial institution for MSME development. Offers concessional green finance loans at 0.5–2% below standard MSME rates for energy efficiency upgrades, renewable energy, and cleaner production investments.
Shreni *Ancient Indian trade guilds*	I	India's ancient system of self-regulated trade associations that trained artisans for decades, guaranteed quality, and maintained worker welfare. The precursor to modern industry associations — and the social infrastructure that made Indian goods trusted across global trade routes for centuries.
Scope 1 / 2 / 3 *GHG emission scopes*	E	Scope 1: emissions directly from your own operations (fuel, industrial processes). Scope 2: emissions from purchased electricity. Scope 3: emissions from your entire supply chain — inputs, transport, product use and disposal. Scope 3 is increasingly what global buyers and investors are measuring.

Supply Chain	G	The network of suppliers, manufacturers, and distributors involved in producing and delivering a product. ESG requirements increasingly cascade down supply chains — meaning your large buyer's ESG obligations become your ESG obligations.
Swadeshi *Self-reliance (Sanskrit/Hindi)*	I	The Indian principle of preferring local, ethical, self-reliant production chains. Maps to the modern ESG concept of supply chain localisation, responsible sourcing, and MSME empowerment.
T		
TCFD *Task Force on Climate-related Financial Disclosures*	F	A framework specifically for disclosing climate-related financial risk — how floods, droughts, water scarcity, or carbon laws could affect your business. Required by banks and investors assessing climate exposure in their portfolios. Free framework; internal climate risk assessment needed.
Triple Bottom Line	F	Introduced by John Elkington in 1998 — the idea that a business should measure three things, not just profit: People, Planet, and Profit. The intellectual foundation that ESG was built on.
Trusteeship *Gandhian principle*	I	Gandhi's idea that business owners are trustees of society's wealth — not its owners. Maps to modern stakeholder capitalism: ESG materiality, community investment, and the idea that a business exists to serve its workers, suppliers, and community, not just its shareholders.
TUFS *Technology Upgradation Fund Scheme*	R	A government scheme for textile and garment MSMEs that offers capital subsidy and interest reimbursement for upgrading to cleaner machinery — energy-efficient looms, waterless dyeing, and effluent treatment plants.
U		
Udyam *MSME Registration Portal*	R	India's official MSME registration portal. Udyam Registration Certificate is required for all MSME government schemes, export support, and ZED certification eligibility. Free to register at udyamregistration.gov.in.
UFLPA *Uyghur Forced Labor Prevention Act (USA)*	R	A US law that bans imports of goods made with forced labour from designated regions. Requires Indian exporters to maintain supply chain traceability documentation proving all inputs are free of forced labour.
UN SDGs *United Nations Sustainable Development Goals*	F	17 global goals — including Clean Water, Zero Hunger, and Decent Work — that governments and businesses are expected to contribute toward by 2030. Not a reporting framework but a strategic alignment tool. Your ESG activities can be mapped onto relevant SDGs to demonstrate your broader contribution.
V		
Value Chain	G	The full sequence of activities a business performs to deliver a product — from sourcing raw materials through to the end customer. Distinct from 'supply chain' (which is upstream). BRSR Core specifically covers 'value chain partners', meaning ESG obligations extend both upstream (your suppliers) and downstream (your buyers).
Vasudhaiva Kutumbakam *The world is one family (Sanskrit)*	I	A foundational Indian philosophical concept meaning that every action has consequences for the entire world. Maps to the modern ESG concepts of Scope 3 emissions, supply chain responsibility, and global ESG reporting — the idea that your business does not exist in isolation.
Z		
ZED *Zero Defect Zero Effect*	C	A Government of India certification scheme that assesses MSMEs on both product quality (zero defect) and environmental impact (zero effect). ZED-certified MSMEs receive a credit rating

uplift, export priority, and buyer credibility. Up to 80% of certification cost subsidised by the government. Free to register at zed.org.in.

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Annexure I — Format of BRSR Core

As prescribed by SEBI — the 9 mandatory attributes, parameters, measurement units, and data assurance approach

BRSR Core is the supply chain version of India's Business Responsibility & Sustainability Report. Large listed companies must collect these indicators from their MSME suppliers. If you supply to any of India's top 1,000 listed companies — **this is exactly what they will ask you for.**

#	PARAMETER	MEASUREMENT UNIT	HOW TO CALCULATE / WHAT TO DOCUMENT	BRSR REF

1 · GHG FOOTPRINT

#	PARAMETER	MEASUREMENT	DATA & ASSURANCE APPROACH	BRSR REF
1.1	**Total Scope 1 Emissions**	*GHG (CO2e) in MT / KT*	Fossil fuel consumption × emission factor (IPCC or accredited lab) − carbon capture + process emissions + fugitive emissions	P6, Q7
1.2	**Total Scope 2 Emissions**	*GHG (CO2e) in MT / KT*	Total purchased energy (MW/MT) × emission factor from supplier or IPCC	P6, Q7
1.3	**GHG Intensity (Scope 1+2) / Revenue**	*MT CO2e / ₹ (PPP adjusted)*	Total Scope 1+2 emissions ÷ Total Revenue from Operations (audited P&L)	P6, Q7
1.4	**GHG Intensity (Scope 1+2) / Output**	*MT CO2e / Unit of product*	Total Scope 1+2 emissions ÷ sector-specific output (vehicles, MT of material, etc.)	P6, Q7

2 · WATER FOOTPRINT

#	PARAMETER	MEASUREMENT	DATA & ASSURANCE APPROACH	BRSR REF
2.1	**Total Water Consumption**	*Mn Lt or KL*	Input water (calibrated flow meters) − Output water = Consumption. Includes water incorporated into products, evaporated, or polluted beyond reuse.	P6, Q3
2.2	**Water Consumption Intensity / Revenue**	*KL / ₹ (PPP adjusted)*	Total water consumed ÷ Total Revenue from Operations (audited P&L)	P6, Q3
2.3	**Water Consumption Intensity / Output**	*KL / Unit of product*	Total water consumed ÷ sector-specific output	P6, Q3
2.4	**Water Discharge by Destination & Treatment**	*Mn Lt or KL*	Separate reporting for untreated, primary, secondary, and tertiary treated discharge	P6, Q4

3 · ENERGY FOOTPRINT

#	PARAMETER	MEASUREMENT	DATA & ASSURANCE APPROACH	BRSR REF
3.1	**Total Energy Consumed**	*Joules or multiples*	Non-renewable fuel + renewable fuel + purchased electricity/heating/cooling/steam + self-generated energy (counted once only)	P6, Q1
3.2	**% Energy from Renewable Sources**	*% terms*	Renewable energy consumed ÷ Total energy consumed × 100	P6, Q1
3.3	**Energy Intensity / Revenue**	*Joules / ₹ (PPP adjusted)*	Total energy consumed ÷ Total Revenue from Operations (audited P&L)	P6, Q1

3.4	**Energy Intensity / Output**	*Joules / Unit of product*	Total energy consumed ÷ sector-specific output	P6, Q1

4· WASTE MANAGEMENT (CIRCULARITY)

#	PARAMETER	MEASUREMENT	DATA & ASSURANCE APPROACH	BRSR REF
4.1	**Plastic Waste (A)**	*Kg / MT*	Packaging material discarded as per Plastic Waste Management Rules 2016	P6, Q9
4.2	**E-Waste (B)**	*Kg / MT*	Discarded electronics as per E-Waste Management Rules 2016	P6, Q9
4.3	**Bio-medical Waste (C)**	*Kg / MT*	Waste from diagnosis, treatment, or research as per Bio-medical Waste Management Rules 2016	P6, Q9
4.4	**Construction & Demolition Waste (D)**	*Kg / MT*	Concrete, plaster, metal, wood, plastics as per C&D Waste Management Rules 2016	P6, Q9
4.5	**Battery Waste (E)**	*Kg / MT*	Discarded Li-ion, alkaline, lead acid batteries as per Battery Waste Management Rules 2016	P6, Q9
4.6	**Radioactive Waste (F)**	*Kg / MT*	Material exposed to radiation from nuclear, hospital, research, or industrial applications	P6, Q9
4.7	**Other Hazardous Waste (G)**	*Kg / MT*	As per CPCB hazardous waste management rules	P6, Q9
4.8	**Other Non-Hazardous Waste (H)**	*Kg / MT*	Waste not classified as hazardous under CPCB; broken down by material composition	P6, Q9
4.9	**Total Waste Generated (A+B+C+D+E+F+G+H)**	*Kg / MT*	Sum of all categories above	P6, Q9
4.10	**Waste Intensity / Revenue**	*Kg / ₹ (PPP adjusted)*	Total waste generated ÷ Total Revenue from Operations	P6, Q9
4.11	**Waste Intensity / Output**	*Kg / Unit of product*	Total waste generated ÷ sector-specific output	P6, Q9
4.12	**Waste Recovered (Recycling / Re-use)**	*Kg / MT + Intensity %*	Absolute quantity + Kg recycled ÷ total waste generated. Vendor certificates may be used for assurance.	P6, Q9
4.13	**Waste Disposed by Disposal Method**	*Kg / MT + Intensity %*	Separate reporting: Incineration / Landfill / Other method	P6, Q9

5· EMPLOYEE WELLBEING & SAFETY

#	PARAMETER	MEASUREMENT	DATA & ASSURANCE APPROACH	BRSR REF
5.1	**Wellbeing Spending as % of Revenue**	*% terms*	Insurance premiums + maternity/paternity benefits + daycare + mental health + health & safety measures ÷ Total Revenue	P3, Q1(c)
5.2	**Safety Incidents — Permanent Disabilities**	*Number*	Based on insurance claims	P3, Q11
5.3	**Lost Time Injury Frequency Rate (LTIFR)**	*Per million person-hours worked*	(Total lost time injuries × 1,000,000) ÷ Total working hours	P3, Q11
5.4	**Fatalities**	*Number*	Based on claims reported to the Factory Inspector	P3, Q11

6· GENDER DIVERSITY

#	PARAMETER	MEASUREMENT	DATA & ASSURANCE APPROACH	BRSR REF
6.1	**Female Wages as % of Total Wages**	*% terms*	From Employee Master / Wage Register	P5, Q3(b)
6.2	**POSH Complaints — Total Reported**	*Number*	From Internal Complaints Committee records	P5, Q7
6.3	**POSH Complaints as % of Female Employees**	*% terms*	Total POSH complaints ÷ Total female employees/workers × 100	P5, Q7
6.4	**POSH Complaints Upheld**	*Number*	From ICC resolution records	P5, Q7

7 · INCLUSIVE DEVELOPMENT

#	PARAMETER	MEASUREMENT	DATA & ASSURANCE APPROACH	BRSR REF
7.1	**Input Material from MSMEs / Small Producers within India**	*% of total purchases by value*	Includes raw material, spares, services, capex — all procurement categories	**P8, Q4**
7.2	**Wages Paid to Employees in Smaller Towns**	*% of total wage cost*	Categorised per RBI classification: rural / semi-urban / urban / metropolitan	**P8, Q5**

8 · CUSTOMER & SUPPLIER FAIRNESS

#	PARAMETER	MEASUREMENT	DATA & ASSURANCE APPROACH	BRSR REF
8.1	**Data Breach Instances as % of Total Cyber Events**	*% terms*	From IT/security incident logs	**P9, Q7**
8.2	**Number of Days of Accounts Payable**	*Days*	(Accounts Payable × 365) ÷ Cost of Goods/Services Procured. From financial statements.	**P1, Q8**

9 · BUSINESS OPENNESS

#	PARAMETER	MEASUREMENT	DATA & ASSURANCE APPROACH	BRSR REF
9.1	**Purchases from Trading Houses as % of Total Purchases**	*% terms*	From RPT audit by financial auditors + financial statements/invoices	**P1, Q9**
9.2	**Purchases from Top 10 Trading Houses as % of Total**	*% terms*	From RPT audit	**P1, Q9**
9.3	**Sales to Dealers/Distributors as % of Total Sales**	*% terms*	From financial statements	**P1, Q9**
9.4	**Share of RPTs in Purchases, Sales, Loans & Investments**	*% terms each*	From RPT disclosure in audited financial statements	**P1, Q9**

Source:
SEBI Circular — BRSR Core Framework. Annexure I of the BRSR Core format as prescribed for listed entities and their value chain partners. Cross-references cite Principle (P) and Question (Q) numbers from the full BRSR Essential Indicators section.

Annexure II — ESG vs CSR

A detailed comparison across 10 dimensions — for readers who want to understand the distinction precisely

DIMENSION	ESG	CSR
Nature	A structured business framework with defined metrics, reporting standards, and accountability mechanisms.	A voluntary corporate initiative — largely philanthropic and discretionary in nature.
Scope	Covers all three pillars: Environmental (planet), Social (people), and Governance (ethics and accountability). Holistic and systemic.	Primarily social in focus — community welfare, charitable giving, and goodwill activities. Does not cover Environmental management or Governance integrity.
Relationship Between the Two	ESG is broader and deeper. CSR activities may qualify as part of the Social (S) pillar — but only a narrow slice of it.	CSR is, at best, a partial subset of the Social pillar of ESG. It does not address Environmental stewardship or Governance accountability at all.
Mandatory or Voluntary?	Increasingly mandatory. SEBI's BRSR is mandatory for India's top 1,000 listed companies. EU, US, and UK supply chain laws are making ESG disclosure obligatory for exporters.	Partially mandatory in India under Section 135 of the Companies Act — but only for companies above a prescribed threshold, and only for spending, not outcomes.
Who Requires It	Global buyers, investors, banks, stock exchanges, regulators, and government tenders. The entire value chain.	Primarily driven by internal corporate policy, board decisions, and SEBI listing requirements for certain companies.
Link to Business Performance	Directly linked. ESG compliance opens export markets, reduces cost of capital, improves credit ratings, and drives buyer preference.	Rarely linked to revenue or financial performance. Primarily reputational in benefit.
Measurement & Reporting	Measured through standardised frameworks — GRI, BRSR, TCFD, SASB, ISO 14001. Quantitative KPIs, third-party audits, and public disclosure.	Largely qualitative and self-reported. No universal measurement standard. Outcomes are often difficult to verify.
For MSMEs	Critical. BRSR Core cascades ESG obligations to MSME suppliers. Export market access now depends on ESG compliance.	Good to have, but not required for most MSMEs. Unlikely to affect buyer relationships or financing directly.
Time Horizon	Long-term and continuous — built into business operations, systems, and annual reporting cycles.	Often project-based or annual — tied to budget cycles and ad hoc initiatives.
Example	Installing an effluent treatment plant, enrolling all workers in PF & ESIC, maintaining audited financial statements, and disclosing energy consumption per unit of output.	Funding a school in a nearby village, organising a tree-planting drive, or donating to a disaster relief fund.

The bottom line: A business that only does CSR has not started its ESG journey. A business that has built strong ESG practices has, as a by-product, fulfilled most of what CSR asks for — and far more.

Annexure III — Government Schemes for MSME ESG Adoption

Central government schemes and UP state schemes — name, description, eligibility, scale, and well-known references

Most MSMEs leave government money on the table — not because the schemes don't exist, but because they don't know which one applies to them. This annexure maps every relevant scheme with enough detail to take the first step. **Start with ZED (free registration) and SIDBI Sustainable Finance — both are undersubscribed and actively open.**

PART A · CENTRAL GOVERNMENT SCHEMES

SCHEME	WHAT IT IS & BENEFIT	ELIGIBILITY	SCALE / BENEFICIARIES	WELL-KNOWN REFERENCES
ZED Certification *Ministry of MSME*	Certifies MSMEs on both product quality (Zero Defect) and environmental sustainability (Zero Effect). Three levels: Bronze, Silver, Gold. Includes a comprehensive factory assessment across E, S, and G parameters. **Benefit:** Up to 80% subsidy on certification cost (net cost ₹10,000–50,000); credit rating uplift of 0.5–1%; export priority and buyer credibility.	All registered MSMEs with Udyam registration. Free to register. Assessment by government-empanelled auditors.	Over 70,000 MSMEs registered on ZED portal as of 2024. Target: 1 lakh MSMEs certified by 2026.	Tata Motors and Maruti Suzuki both preference ZED-certified vendors in their MSME supply chain. Several Rajasthan and Gujarat clusters have achieved cluster-wide ZED certification.
SIDBI MSME Sustainable Finance *SIDBI / Ministry of Finance*	Concessional loan facility for MSMEs investing in energy efficiency, renewable energy installation (solar, wind), or cleaner production processes that demonstrably reduce pollution or carbon output. **Benefit:** 0.5–2% below standard MSME lending rate; longer repayment tenure (up to 7 years); reduced collateral for ESG-certified units.	Any Udyam-registered MSME with a documented energy efficiency or clean-tech investment plan. Requires energy audit report and 2-year audited financials.	SIDBI has disbursed over ₹12,000 crore under green and sustainable finance windows as of FY2023-24. IFC–SIDBI facility alone covers ₹3,000+ crore.	Tirupur garment cluster (Tamil Nadu) MSMEs accessed SIDBI green loans for ETP installation. Ludhiana hosiery units used the facility for solar panel upgrades.
TUFS — Technology Upgradation Fund *Ministry of Textiles*	Capital subsidy and interest reimbursement for textile and garment MSMEs that upgrade to cleaner, more efficient machinery — energy-efficient looms, waterless dyeing systems, effluent treatment plants (ETPs), and related equipment. **Benefit:** 15% capital subsidy on eligible machinery cost; 5% interest reimbursement on term loans for approved machinery.	Textile, garment, and handloom MSMEs only. Must purchase from an approved list of machinery suppliers. Applied through nodal banks.	TUFS has disbursed over ₹1.5 lakh crore in support since inception. Over 1.2 lakh units assisted across textile clusters.	Surat synthetic textile cluster, Tirupur knitwear units, and Ludhiana woollen mills have all extensively used TUFS for machinery upgrades and ETP installation.

SCHEME	WHAT IT IS & BENEFIT	ELIGIBILITY	SCALE / BENEFICIARIES	WELL-KNOWN REFERENCES
BEE PAT Scheme *Bureau of Energy Efficiency (BEE) / MoPNG*	Sets sector-specific energy intensity reduction targets for designated energy-intensive industries. MSMEs that beat their assigned target earn tradeable Energy Saving Certificates (ESCerts) — which can be sold to industries that missed their targets, generating direct revenue. **Benefit:** ESCerts tradeable at ₹1,000–4,000 per unit; direct revenue from energy efficiency. Energy reduction also reduces CBAM liability for EU exporters.	Designated Consumers (DCs) in notified energy-intensive sectors: steel, aluminium, cement, textiles, food processing, chemicals. Requires metered energy consumption data.	Over 900 Designated Consumers covered under PAT. ESCerts market has seen trades worth hundreds of crores. Cycle 7 covers FY2022–2026.	JSW Steel, TATA Steel, and Hindalco are prominent participants. Several MSME clusters in Mandi Gobindgarh (steel) and Vapi (chemicals) have accessed PAT benefits.
MSME Cluster Development Programme (CDP) *Ministry of MSME / DC MSME*	Funds the creation of Common Facility Centres (CFCs) for MSME clusters — shared effluent treatment plants, shared testing and quality labs, shared solar installations, and common warehouse infrastructure. Individual MSMEs access these facilities at a fraction of standalone setup costs. **Benefit:** Government funds 70–90% of CFC infrastructure cost. MSMEs pay only a usage fee. Eliminates the need for individual ETP or testing lab investment.	MSME clusters with a minimum of 20–25 units in a defined geographic area. Applied through District Industries Centre (DIC) or Industry Associations.	Over 500 CFCs established across India under CDP. Covers leather (Kanpur, Agra), garments (Tirupur, Surat), steel (Raipur, Mandi Gobindgarh), and handloom clusters.	Kanpur leather cluster's shared CFC (CLRI-supported) processes effluent for 200+ tanneries. Tirupur's shared ETP is a benchmark cited by UNIDO for cluster sustainability.
NABARD Green Agri Finance *NABARD / Ministry of Agriculture*	NABARD's Rural Infrastructure Development Fund (RIDF) and climate-smart agriculture windows provide low-cost, long-tenure capital to agri-processors and food MSMEs demonstrating sustainable sourcing, supply chain traceability, and farmer welfare practices. Linked to APEDA certification support. **Benefit:** 4–6% effective interest rate; up to 10-year repayment tenure for farm-linked infrastructure; preference for GlobalG.A.P. or FSSAI-certified units.	Agri-processors, food MSMEs, cold chain operators, and agri-exporters. Stronger eligibility with APEDA registration, GlobalG.A.P., or FSSAI certification. Applied through district cooperative banks.	NABARD's RIDF has disbursed over ₹4 lakh crore since inception. Climate-smart agriculture and agri-processing windows are among the fastest-growing windows as of FY2024.	Punjab rice milling cooperatives, Maharashtra grape exporters (GlobalG.A.P.-certified), and Kerala spice processors have all accessed NABARD green agri windows.
PM Vishwakarma Scheme *Ministry of MSME / Ministry of Skill Development*	A flagship scheme launched in 2023 specifically for traditional artisan MSMEs — weavers, blacksmiths, potters, cobblers, carpenters, and 16 other craft categories. Provides collateral-free credit, skill training, digital onboarding, and market linkage. Directly ESG-relevant for Social (S) pillar compliance. **Benefit:** Collateral-free credit up to ₹3 lakh at 5% concessional rate; free skill training with ₹500/day stipend; digital ID and market access support.	Artisans and craftspeople in 18 traditional trades. Must register on PM Vishwakarma portal. No minimum turnover requirement. Age: 18+.	Government target: 30 lakh artisans by 2028. Over 20 lakh registered as of early 2025. Budget outlay: ₹13,000 crore over 5 years.	Varanasi banarasi weavers, Moradabad brassware artisans, and Agra cobbler communities are among the largest cohorts registered under PM Vishwakarma.
MSME Competitive (LEAN) Scheme *Ministry of MSME*	Promotes Lean Manufacturing and sustainability practices among MSMEs — covering waste reduction, energy efficiency, quality systems, and ESG-aligned process improvement. Delivered	Any registered MSME willing to adopt lean and sustainable manufacturing practices. Priority to clusters and	Over 10,000 MSMEs supported under LEAN scheme across 100+ clusters. Covers automotive, textile,	Pune auto-component cluster and Coimbatore engineering cluster are recognised lean manufacturing benchmarks. CII and NPC have documented 15–25% cost reduction outcomes.

SCHEME	WHAT IT IS & BENEFIT	ELIGIBILITY	SCALE / BENEFICIARIES	WELL-KNOWN REFERENCES
	through National Productivity Council (NPC) and MSME Technology Centres. Directly supports BRSR Core documentation readiness. **Benefit:** Up to 80% subsidy on LEAN consultancy and implementation costs. Government-funded expert consultants placed in MSME units for 3–6 months.	units targeting export markets.	food processing, and engineering sectors.	

Application portals: ZED: zed.org.in · SIDBI: sidbi.in · TUFS: texmin.nic.in · BEE PAT: beeindia.gov.in · CDP / LEAN: msme.gov.in · NABARD: nabard.org · PM Vishwakarma: pmvishwakarma.gov.in